

TOTTENHAM HOTSPUR PLC
ANNUAL REPORT 2011

Registered number
1706358



Chairman's statement

Having been Chairman for 10 years it was with great pride that we saw the Club enter the elite UEFA Champions League competition during the 2010/2011 Season. To have progressed through to the quarter-finals of that competition, with some magnificent performances along the way, is a validation of our continued investment in our squad.

Participation in the UEFA Champions League competition and our run to the latter stages has had a significant impact on the Club's turnover for the year, delivering record revenues of over £163.5m (2010: £119.8m).

This allowed us to sustain a larger squad and remain competitive in both the League and cup competitions. Whilst we have continued to invest heavily in the squad it should also be noted that we have continued to invest sensibly in other parts of the Club's future, namely facilities such as the new Training Centre complex and planning for a new stadium, whilst still managing to reduce net debt and continue to maintain a strong balance sheet.

Ten years ago we set out to create a First Team squad that could compete for the highest honours both domestically and in Europe, to deliver a new Training Centre and an increased capacity stadium. I am delighted to report on the substantial progress we have made in all these areas.

Financial highlights

Before turning to the Club's results for the year ended 30 June 2011, which are covered in more detail in the Financial Review, I should like to start by commending everyone at the Club for the continued hard work without which we could not deliver such a robust financial backdrop to a season which has delivered so much on the pitch. Whilst we can certainly point to the successful run in the UEFA Champions League competition, which has propelled revenues to reach record levels again at £163.5m (2010: £119.8m), we have also seen commercial success, particularly in the area of sponsorship with the innovation of two shirt sponsors - Autonomy across all FAPL games and Investec across all cup competitions. Given the attention our performances attracted, we have seen media values rise and deliver an impressive return for our sponsors.

This was yet another season when we filled our Stadium to capacity for every Premier League home match and during this period Premier League gate receipts rose to £20.4m (2010: £20.1m).

Increases in media and broadcasting revenues were buoyed by UEFA Champions League receipts and a fifth place finish continues our run of being in Europe for four of the past five seasons.

We retained a large squad to give ourselves the best chance of success and ensure there was sufficient depth in the squad. More players, along with salary inflation, performance-related bonuses and increases in football expenses, resulted in football operating expenses increasing during the year. Post year end we have reduced the squad size, enhanced the quality and continue to focus on retaining core players on long-term contracts. This invariably means new longer-term deals on higher, competitive salaries. We continue to work, however, on driving revenues to ensure that the wage to revenue percentages remain within our key performance targets.

Capital projects

In September this year we held the Topping Out ceremony for the new Training Centre. Visitors to the site have not failed to be impressed with its design and layout. It is visibly at the forefront of training facilities in Europe and arguably in the world. We look forward to the final commissioning of the project in the summer of 2012 when it will become home to our First Team squad and the exciting talent amongst our younger Academy teams.

Much has been written about our new stadium plans. During this period we were successful at planning committee stage with our plans for the Northumberland Development Project (NDP), but the cost of consent had been high. At the same time, we were invited to submit our interest in the Olympic Stadium and made a bid to acquire the lease of this stadium post the 2012 Olympics. We were quite clear, however, that we would not compromise spectator enjoyment by retaining the track. We were unsuccessful, we believe, because of our failure to agree to retain the track despite assurances that a bid without the track would be acceptable within the criteria and despite our bid including a substantial alternative athletics facility, a healthy return to the taxpayer and extensively funded community programming.

In light of the decision to formally retain the running track and the incompatibility of football in a stadium with a track, the Olympic Stadium has ceased to be an option for the Club and we have, over the last few months, been involved in a succession of meetings and discussions with politicians at all levels in respect of the NDP and associated developments.

A financing package will need to include bank finance, enabling development and sponsorship. Quite clearly any significant, further investment by the Club would need to be in the context of a commitment by the public sector to undertake public infrastructure works in order to create the environment and confidence to commit further.

Chairman's statement

These would include public sector improvements such as public space upgrades, improved public transport and public realm works, to be delivered in the surrounding area and to contribute to the general uplift of the borough, thereby creating an area in which the Club can justify an investment of hundreds of millions of pounds, secure funding and be a catalyst for further regenerative investment

We are continuing to hold positive and constructive discussions with local, regional and national government as we seek to move this scheme forward

On the pitch

The fact that we hosted one of the largest squads in the Premier League during this period undoubtedly played a role in our ability to compete in the manner in which we did. We were clear that we would need to look to streamline our squad where appropriate and outside of this period, with a combination of player sales and loans, we have been able to reduce the squad numbers

New contracts were agreed with First Team players Benoit Assou-Ekotto, Gareth Bale, Luka Modric, Danny Rose, William Gallas, Vedran Corluka, Kyle Naughton and Kyle Walker; Development Squad players John Bostock, Nathan Byrne, Thomas Carroll, Steven Caulker, Jake Livermore, Jake Nicholson, Dean Parrett, Ryan Fredericks, Simon Dawkins, Kudus Oyenuga and Harry Kane

During the summer of 2010 we signed Rafael van der Vaart, William Gallas, Stipe Pletkosa (on loan) and Sandro (from our Partner Club Internacional). In January 2011 we signed Bongani Khumalo, Steven Pienaar and Massimo Luongo and re-signed Simon Dawkins

Doran Dervite, Adel Taarabt, Jonathan Woodgate, Anton Blackwood, Calum Butcher and Stipe Pletkosa left the Club during the financial year

Since the year end we have strengthened the squad further with the following signings: Brad Friedel, Scott Parker, Emmanuel Adebayor (loan), Cristian Ceballos and Souleymane Coulibaly

The following players have left since the year end: Jamie O'Hara, Robbie Keane, Alan Hutton, Peter Crouch, Wilson Palacios and Paul-Jose M'Poku

Pre-season for this period, the First Team undertook a successful tour to the USA, playing partner club San Jose Earthquakes and taking part in the Barclays New York Challenge, along with New York Red Bulls, Sporting Lisbon and Manchester City

We made our debut in the UEFA Champions League against BSC Young Boys and were successful in our Group Stage matches which included a memorable hat-trick by Gareth Bale against Inter Milan at the San Siro and an equally thrilling return match at the Lane. Our win against Werder Bremen secured our qualification for the last 16

Strong performances home and away against AC Milan saw us progress to the quarter-finals - a remarkable achievement in our first UEFA Champions League appearance - before exiting to Real Madrid

As part of pre-season 2011/2012, the Club took part once again in the Vodacom Challenge Cup in South Africa and it proved to be an excellent trip with a good level of competitive matches. For a second time we returned with the trophy

We have a special relationship with South Africa that has grown over the years. This trip was our fourth visit to the country in eight years. Our partnership with SuperSport United included the signing of Bongani Khumalo from their First Team, joining our other South African international, Steven Pienaar. During the season we hosted 16 players and also members of their staff on coaching exchanges and trials

The Club and the Premier League were also part of the Trade Mission by the British Prime Minister, David Cameron, to South Africa at the time of the tour. Along with the recognition of the Premier League as one of Britain's best export examples, he accepted our invitation to visit our joint Tottenham Hotspur SuperSport Academy, a further example of trade between the two countries. In Parliament on his return, the Prime Minister praised the corporate social responsibility work the Club does in South Africa with youngsters, linked to the work it does here in our five neighbour boroughs

At youth level, four Academy graduates, Jake Livermore, Steven Caulker, Danny Rose and Andros Townsend played for the First Team during the season. Once again this has had an inspirational effect on the younger players, who continue to play in Development games with First Team players on a regular basis and additionally continue to play games on loan under the guidance of the development staff

The season saw 19 players make an average of 21 appearances in senior League football. The level at which our loanees play has once again improved with a significant increase in appearances in the Championship. On a typical

Chairman's statement

weekend we provided 12% of teenage starters in the Championship and League One. With around 90% of starters in the top three English Leagues being 21 years of age or over, the achievements of our young players is outstanding.

22 of our players were called up to play international football from Under-16 to Under-21 years of age, 14 of whom played for England.

We attended 31 tournaments and festivals with the Academy squads, 23 of which were overseas. This exposure to international football without doubt accelerates the learning experiences of younger players.

An Under-17 group played against the Rwandan National Youth team in a historic game, 17 years after the tragic events in their history and as a precursor to their FIFA World Cup competition.

Commercial operations

This period saw the innovative split of the shirt sponsorship, as previously mentioned, with Autonomy and Investec. We agreed a new four-year travel partnership extension agreement with Thomas Cook Sport and Sportingbet became the Club's online betting partner. Under Armour was announced in a record breaking deal as the Club's new technical partner effective from the 2012/2013 Season.

We continued to be committed to developing the next generation of fans and this period saw us undertake our Free Junior Membership initiative. We are now creating a website designed to engage with young Spurs fans both in the UK and overseas.

In addition to the launch of a website specifically for our younger fans, we shall also be launching a new re-designed Club website later this year. A destination for Spurs fans all over the world, it includes enhanced functionality and a matchday console to serve the millions of fans who are not able to be at the game. We are fortunate to be partnered by our Premier League sponsor Autonomy and will be using their advanced web technology and software, which will undoubtedly see us deliver to fans the most innovative website of its kind.

Given the huge demand for tickets which sees us routinely sell out, we continue to seek other ways to make the Club accessible to kids and families. The special allocation of tickets available for Members and Season Ticket Holders to bring children to their first match continues to be popular. In addition, our fun days at the Lane, Open Training events and free Stadium tours for Junior Members enable us to engage with youngsters.

Outside of this period we have undertaken a brand project aimed at strengthening the Club's visual identity. This work has helped us create greater coherence in our identity across all our channels as we look to further grow the brand in new commercial markets and across key territories around the world.

All of our Club communication channels once again saw significant growth. Our web reached a record all time high for unique visitors per month, some 2.6m, and Spurs TV records the highest number of subscribers for equivalent products across the Premier League. Our digital media presence continues to grow with close to a million followers on Facebook and just under 100,000 followers on Twitter.

Tottenham Hotspur Foundation

The major disturbances we saw in our neighbourhood in August 2011 served to both highlight the social issues prevalent in the area in which the Club is situated and to underline the valuable role the Foundation plays.

There is a real need for this role to be maintained, widened and strengthened. Our Foundation is widely recognised as being at the forefront of delivering vital projects that tackle key social issues, promote social cohesion and further education. More importantly, it is the single most powerful platform the Club has on which to engage with local, regional and national government and discussions are taking place daily to further establish and expand our work in conjunction with government departments. I shall revert to this issue when reporting on the Outlook for the Club.

This period saw the launch of the E18HTEEN project with Jermain Defoe as an ambassador for the programme and a positive role model and mentor. The project will run over two years and work with 160 young people aged 16-19 years, who are either in care or are care leavers, with the objective of getting them back into training, education and employment.

Our statistics continue to speak for themselves. Over 7,000 children have taken part in our healthy living assemblies in local primary and secondary schools, our Volunteer Tottenham Hotspur programme has created over 5,000 voluntary hours since it started, we delivered our 'Think Fit' sports project to over 1,000 women in North London, and, through the Bill Nicholson Bursary Fund, over 60 local people have successfully gained football coaching qualifications with 50% of those now working in Foundation programmes.

Chairman's statement

An outstanding statistic is that currently 48% of the Foundation's coaching staff are young people who have come through one of our projects. Not only does the Foundation deliver crucial projects, it also provides a route to employment and enhances the quality of the lives it touches.

I should like to make special mention and thank the management, staff and volunteers at the Foundation who routinely work long hours, deliver programmes through the night and often deal with disturbing incidents.

We should all be immensely proud of our Foundation's work and achievements.

Club charities

We continue to work with our main charity partner, SOS Children's Villages. The players have personally sponsored SOS orphans around the world, predominantly in Haiti, Beijing and Rustenburg, South Africa. Our players selected to play for England in the World Cup sponsored children in our SOS Children's Club House in Rustenburg and this meant that Michael Dawson was able to meet the child he had personally sponsored in what was an emotional moment and made news around the world.

Our players were also able to meet up with their sponsored orphans again when we visited South Africa in the 2011/2012 pre-season tour.

Once again we have continued our support for Tickets for Troops, making tickets available free for troops to attend our matches when on leave. We have supported Help for Heroes throughout the year, hosted servicemen and raised over £40,000 for the Royal British Legion's Poppy Appeal Campaign.

We also continue to support our role in Special Olympics worldwide and once again we sponsored the Homeless World Cup, through our support for KSVN Slum Soccer Schools in India.

Management and staff

We can proudly look back on the last season in the knowledge that our Club has once again achieved significant progress both on and off the pitch, matching playing success with commercial success and prudent financial management.

We recognise the magnificent efforts of the players, management and coaching staff as integral to that success. Pledges must go to Harry Redknapp and all the staff for a truly exciting season.

Our ex-players and legends are an important aspect of the Club. It was with great sadness that this year saw the passing of match-day host Ralph Coates, Bobby Smith, Mel Hopkins, Eddie Bailey and former assistant manager Pat Welton. We were also deeply saddened by the tragic and untimely death of Dean Richards. Our Club captain and former team mate, Ledley King, represented the Club on the pitch at the Molineux Stadium for the moving tribute to Dean. Our condolences go to all their families.

Outlook

Last season we played some of the most entertaining football of any team in any league in the world. We shall fully embrace the Europa League this season and push to achieve all that we can, whilst also ensuring that we focus on our goal of rejoining the UEFA Champions League.

We, your Board, have always highlighted the need for a viable and sustainable business, operating within our means. We welcome the forthcoming new system of Financial Fair Play in the game that we hope will level the playing field and endorse the way we have operated to date. The footballing world has largely recognised the need for this form of financial control.

We fully support the UEFA regulations alongside the Premier League's view on Financial Fair Play and we shall be a test case in the run up to its implementation. Our hope is that the rules are accepted in the spirit of the game to ensure its integrity and values are based on fair competition.

I now wish to comment further on our current position in Tottenham and to make reference to the riots that happened on our doorstep, but which made headlines around the world.

All of us have been greatly affected by the events of the past months. As a Club we have always taken our role and responsibilities within our community seriously and the work of the Foundation is testament to that.

The recent riots and disturbances in Tottenham have brought sharply into focus the difficulties and needs facing one of the most deprived parts of the country. Whilst we are ever-conscious of the level of deprivation we see in the area in which our current Stadium is sited, it is perhaps worth reminding ourselves of the position.

Chairman's statement

North Tottenham, and in particular the Northumberland Park ward, is one of the most deprived and ethnically diverse parts of Britain - 71.6%¹ of the residents of Northumberland Park claim employment and support allowance (1.5% nationally) and 53.1%² of children in Northumberland Park are living in poverty. Northumberland Park is considered amongst the worst 5%³ deprived wards in the country.

There is an undeniable need for regeneration in this area in order to provide future hope and cohesion for the community.

Our commitment to this area is evidenced by the fact that we invested some £60m in buying land over the past few years and £25m in the planning process. In addition the Club continues to attract millions of pounds to the area through our presence here, as well as the millions we attract in grant funding for the work of our Foundation in the local communities of Harroby and Enfield.

Tottenham deserves focus, co-operation and the appropriate level of support from all stakeholders. It is not a small task and it requires all parties to come together to make it happen. The Docklands is a clear example of what can be achieved when public investment in the community creates the circumstances in which the private sector can then invest bringing jobs, social cohesion, place change and a renewed pride to an area long overlooked.

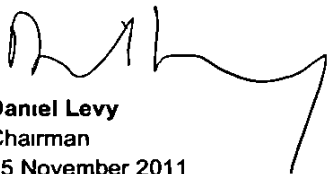
I should underline that there is still a long way to go. Given the scale, importance and complex nature of such a major, sport-led regeneration scheme, we shall be affording it the time and focus it deserves and discussions are ongoing. We shall look to report further as we progress what have been, and continue to be, positive meetings and discussions with the Mayor's office and Harroby Council.

In looking to move forward and continue to fulfil our ambitions as a Club, particularly with respect to raising finance for capital expenditure projects, I can also announce that we are intending to propose to shareholders that the Company be de-listed from trading on AIM and be re-registered as a private limited company. We propose to re-instate the nil cost dealing facility for small shareholders who hold 10,000 or fewer ordinary shares to assist those who wish to sell their shares prior to the Company ceasing to be traded on AIM.

A circular explaining these proposals in more detail will be sent to all shareholders in due course.

Challenging global economic times are upon us and we shall all be required to manage the difficulties this will present. We shall continue to be ambitious for the Club whilst preserving the solid foundations on which it now flourishes.

In conclusion I should like to thank all our supporters for their immense support, home, away and around the world - support which is never taken for granted.



Daniel Levy
Chairman

15 November 2011

¹ Source: 2010 Department of Work & Pensions – figure calculated as a percentage of 2009 MYE working age population figures.

² Source: Harroby Strategic Partnership, 2010 Child Poverty Needs Assessment.

³ Source: 2010 Indices of Deprivation.

Financial review

I am pleased to announce the financial results for the year ended 30 June 2011

Revenue reached a record level of £163.5m (2010: £119.8m), representing a 36% increase on the previous year and generating an operating profit excluding football trading of £32.3m (2010: £22.7m). Net debt has been reduced during the year from £64.5m to £56.8m despite the continued investment in our capital projects.

Revenue

Premier League gate receipts rose to £20.4m (2010: £20.1m) with the Stadium continuing to be sold out for all Premier League home games.

Finishing fourth in the Premier League at the end of the 2009/2010 Season provided the Club with an opportunity to qualify for the UEFA Champions League Group Stages for the first time in its history which it achieved after beating Young Boys in a Play-Off Round. After a memorable run in the competition, the Club were eliminated by Real Madrid in the quarter-finals.

Gate receipts and prize money from our run in the UEFA Champions League totalled £37.1m. In the previous season the Club did not qualify for Europe.

In domestic cup competitions, the Club was knocked out in the fourth round of The FA Cup and the third round of the Carling Cup, earning the Club £1.9m in gate receipts (2010: £6.7m).

Media and broadcasting revenues increased by 5% to £54.0m (2010: £51.5m). This gain was due to the first season of the new increased FAPL TV deal in spite of a lower merit fee award based on our final league position of fifth compared to fourth the previous season.

Sponsorship and corporate hospitality income increased by 24% from £25.8m to £31.8m. The 2010/2011 Season saw us welcome two new shirt sponsorships with Autonomy sponsoring our shirts in the Premier League and Investec sponsoring our shirts in all cup competitions. In addition, corporate hospitality income benefited from our UEFA Champions League campaign.

Merchandising income rose by 23% to £9.6m (2010: £7.8m) aided by UEFA Champions League participation and a strong product mix.

Operating expenses (excluding football trading)

Operating expenses before football trading rose by 35% from £97.1m to £131.2m in the year. Player salaries have risen as the Club augmented its squad of players to be able to compete both at home and in Europe at the highest level during the season in which the Club played a total of 53 games.

There was also an adverse movement in unrealised foreign exchange differences due to the weakening of Sterling against the Euro during the year.

Profit from operations (excluding football trading and amortisation)

Overall, our operating profit before football trading and amortisation, which is one of our key performance indicators for how the Club is performing as a cash-generating business, increased by 42% to £32.3m (2010: £22.7m).

Amortisation and impairment of intangible assets

Amortisation and impairment of intangible assets and other football trading-related income and expenditure are £39.5m (2010: £39.5m) as the Club maintains its significant investment in its playing squad.

Financial review

Profit on disposal of intangible assets

Profit on the disposal of intangible assets was £8.6m for the financial year (2010: £15.3m) which included the sale of Adel Taarabt to Queens Park Rangers and contingent receipts relating to prior year sales of Darren Bent to Sunderland, Kevin-Prince Boateng to Portsmouth, Dimitar Berbatov to Manchester United and Didier Zokora to Sevilla.

Net finance expenses

Finance costs have fallen from £6.4m to £5.5m and finance income has risen from £1.4m to £4.5m as a result of a £4.2m credit which would have arisen over a three-year redemption period relating to our convertible redeemable preference shares had they not been fully converted during the year.

Profit before taxation

The overall result of the above is that the Group made a profit before taxation of £0.4m (2010: loss of £6.5m).

Balance sheet

The significant investments the Club has continued to make over the past 12 months in the Northumberland Development Project (NDP) and the new Training Centre have resulted in the carrying value of property, plant and equipment increasing from £123.6m to £150.3m.

As at the balance sheet date, the current Stadium and Training Ground amount to £39.0m of these assets, the investment in NDP is £83.5m and the new Training Centre is capitalized at £27.8m.

This huge investment over the last six years has been funded through profits, equity contributions and long-term debt financing.

Group net assets are £81.5m (2010: £70.5m) whilst net debt has been reduced from £64.5m to £56.8m.

Cash flow

The Group had a net cash inflow from its operations of £69.1m for the year (2010: £19.9m).

We had a cash outflow of £48.8m (2010: £62.0m) to acquire players and pay contingent sums arising from transfer agreements, but this is partially offset by £22.5m (2010: £34.5m) of cash inflows from player sales and contingent receipts, with the residual outflow offset by operating profits.

The other major cash movements were the drawdown of £6.8m (2010: £13.8m) in loans to help fund the NDP and the expenditure on the construction of the new Training Centre. The Group repaid £5.5m (2010: £4.1m) of other borrowings during the year.

Risks and opportunities

The Group is exposed to a range of risks and uncertainties which have the potential to affect the long-term performance of the Group. Risks are monitored by the Board on a continual basis and the Group seeks to mitigate these risks wherever possible.

Looking forward, the next major challenge our industry will face, from a financial perspective, will be the change that Financial Fair Play will bring to the game. The essence of the change is to balance revenues and expenses. It was inevitable that UEFA would bring further control to the game and the Premier League has embraced these changes taking the view that it is better to be involved in a process than pushing against the inevitable.

From the Club's perspective, it vindicates our consistent approach to invest in the Club. It underlines our focus on investing in young talent and our Academy facilities, it necessitates the need for a new stadium, which is now even more important to drive revenues to the next level and it underlines our decision to work within our historic operational cash flows.

Financial review

On the pitch

As we invest for the future, the continued success of the First Team in the Premier League, European and cup competitions remains an important part of our progression

Our ambitions in these competitions can be achieved with the continued commitment of the playing staff, the football management team and supporters. Our successful approach to nurturing both home-grown talent and acquisitions through the transfer market will help the team to secure future success on the pitch

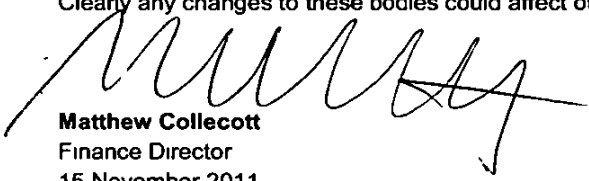
There is always continued upward pressure on player costs and salaries, which continue to require significant cash outflows. Accordingly, the challenge for the Group continues to be locating players of both quality and value through the transfer market and Academy. The importance of this will be further highlighted by the introduction of Financial Fair Play

Off the pitch

The development of the new stadium will expose the Group to additional risks. The risk that we might not obtain the necessary financing would have a significant negative impact and require a write-off of some of the planning and professional fees paid to date. There is also a risk that the market value of property held may reduce, however we are confident there are appropriate contingency plans in place to safeguard against these risks

We continue to explore new opportunities in order to broaden our range of income streams both nationally and internationally. This continued diversification will help to ensure the Group is financially robust and increases our stability

The Club is reliant on the Premier League brand and exposed to external governing bodies of The FA, UEFA and FIFA. Clearly any changes to these bodies could affect our business model



Matthew Collecott
Finance Director
15 November 2011

Directors' report

The Directors present their Annual Report on the affairs of the Group together with the financial statements and Auditor's Report for the year ended 30 June 2011

Principal activities and business review

The principal activities of the Group continue to be the operation of a professional football club in England together with related commercial activities. In addition, the Group continues to acquire numerous properties with a view to a new stadium development. A review of the Group's business, an indication of the likely future developments of its business and a description of the principal risks and uncertainties facing the Group are contained in the Chairman's Statement and the Financial Review set out on pages 14 to 22.

Environmental matters and employee matters

The Group seeks to maintain its strong track record as a responsible employer. We seek to minimise the Group's impact on the environment and endeavour to achieve this through recycling and energy conservation wherever possible. We are also committed to maintaining a workplace of the highest standard and seek to do so by ensuring that we provide training programmes, appropriate remuneration and a positive working environment.

Financial risk management objectives and policies

The Group is exposed to financial risk through its financial assets and liabilities. The key financial risk is that the proceeds from financial assets are not sufficient to fund the obligations arising from liabilities as they fall due. The most important components of financial risk are interest rate risk, currency risk, credit risk, liquidity risk, cash flow risk and price risk. Due to the nature of the Group's business the financial risks that the Directors consider particularly relevant to the Company are interest rate risk, currency risk and cash flow risk.

The Group addresses cash flow risk by carefully managing its working capital inflows and outflows. The Group hedges its interest exposure by using fixed interest rate facilities where it is deemed appropriate. The Group is exposed to foreign currency exchange risk through its player transactions but manages its working capital inflows and outflows to minimise any material foreign exchange risk. The Group does not enter into complex financial instruments for speculative purposes. Further information is provided in note 19 to the financial statements.

Results and dividends

The audited consolidated income statement for the year ended 30 June 2011 is set out on page 32.

The Directors have not recommended the payment of a dividend (2010: £nil).

Post balance sheet events

Details of post balance sheet events are given in note 27 to the accounts.

Share capital

On 14 December 2010 the Directors were granted the authority, under a shareholders' resolution, to purchase through the market 18,519,033 of the Company's ordinary shares at prices ranging between 5p and a maximum of 105% of the average mid-market price quoted for the five business days prior to the purchase. A second resolution granted the authority to purchase through the market 8,668 of the Company's convertible redeemable preference shares ('CRPS') at prices ranging between £78.10 and a maximum of 105% of the average mid-market price quoted for the five business days prior to the purchase.

During the year the Company did not purchase any ordinary shares or any CRPS.

As mentioned in the Chairman's Statement, the Board is proposing to shareholders to de-list the Company from trading on AIM and re-register the Company as a private limited company. In conjunction with this we have re-instated the nil cost dealing facility for small shareholders who hold 10,000 or fewer ordinary shares who wish to sell their shares prior to the Company ceasing to trade on AIM.

Directors

None of the Directors who served during the year held a beneficial interest in the ordinary share capital of the Company at 30 June 2011.

Daniel Levy and certain members of his family are potential beneficiaries of a discretionary trust which ultimately owns 29.41% of the share capital of ENIC International Limited (ENIC).

At the year end ENIC held 181,793,258 ordinary shares representing 85% of those in issue.

Directors' report

Matthew Collecott is a trustee of the Tottenham Hotspur Foundation, an unpaid position to assist the direction and performance of the Chanty

Details of the Directors' remuneration are given in the Remuneration Report on pages 29 and 30 Directors' interests in contracts are disclosed in note 24

Disclosure of information to the auditor

In the case of each of the persons who are Directors of the Company at the date when this report was approved so far as each of the Directors is aware, there is no relevant audit information (as defined by the Companies Act 2006) of which the Company's auditor is unaware, and each of the Directors has taken all of the steps that he ought to have taken as a Director to make himself aware of any relevant audit information (as defined) and to establish that the Company's auditor is aware of that information

This information is given and should be interpreted in accordance with the provision of Section 418 of the Companies Act 2006

Substantial shareholdings

The Company has received the following notification of holdings of 3% or more of the share capital of the Company as at 15 November 2011

	Ordinary shares	
	%	Number
ENIC International Limited	85	181,793,258

Charitable and political donations

The Group made cash donations of £100,287 to international, UK-based and local charities during the year (2010 £11,960) The Group made no political donations during the year (2010 £nil) The Group made contributions with a value in excess of £0.5m to the Tottenham Hotspur Foundation during the current and previous years In addition, the Group makes many other contributions of Tottenham Hotspur Football Club memorabilia to local registered charities, especially in the Haringey and Enfield districts and adjacent catchment areas

Disabled employees

Applications for employment by disabled persons are always considered fully, bearing in mind the aptitudes of the applicant concerned In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the Group continues and appropriate training is arranged It is the policy of the Group that the training, career development and promotion of disabled people, should as far as possible, be identical to that of other employees

Employees consultation

The Group places considerable value on the involvement of its employees and has continued to keep them informed on matters affecting them as employees and on the various factors affecting the Group This is achieved by departmental meetings and intranet notices

Supplier payment policy

The Group's policy on payment of creditors is to negotiate payment terms when agreeing the terms of each transaction In the majority of cases this involves payment within 30 days of the invoice date, however, where discounts are available it is generally the policy to pay earlier and benefit accordingly Trade creditors at 30 June 2011 represented 59 days (2010 56 days) of annual purchases This figure excludes contracted creditors in respect of player purchases and capital costs which are paid on their contractual due dates

Directors' report

Tangible fixed assets

In the opinion of the Directors, the current open market value of the Group's interests in land and buildings is in line with the book value

Key performance indicators

The Directors monitor the business based on the key performance indicators as being revenue and operating profit/(loss) before tax and player trading as shown in the table on page 32

Going concern

The Board of Directors continually monitors the Group's exposure to a range of risks and uncertainties, including the success of the First Team and our level of spending thereon, the current economic downturn and the need for additional funding requirements of a new stadium development. The Financial Review details these risks and uncertainties, the Group's financial performance and position for the year and its cash flows and funding position. In addition, note 19 to the financial statements includes the Group's objectives, policies and processes for managing its capital, its financial risk management objectives and its exposure to credit and liquidity risk. The Directors believe that these risks and uncertainties are mitigated by, inter alia, the robust nature of our business with long-term fixed revenues from the key business areas, notably the FAPL TV deal.

The Board of Directors has recently undertaken a thorough review of the Company's budgets and forecasts and has produced detailed and realistic cash flow projections. These cash flow projections which, when considered in conjunction with the Group's existing loans, overdrafts and cash, which included consideration of reasonably possible changes in trading performance and available banking facilities, demonstrate that the Group will have sufficient working capital for the foreseeable future. The Board of Directors acknowledges that the capital structure of the business will change as the NDP progresses, and is satisfied the necessary level of funding can be obtained. Consequently, the Directors believe that the Company has adequate resources to continue in operational existence for the foreseeable future and the financial statements have been prepared on the going concern basis.

Directors' indemnities

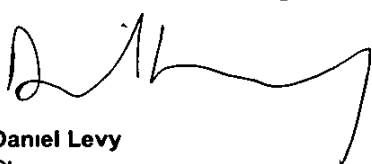
The Group has not made any qualifying third-party indemnity provisions for the benefit of its Directors during the year.

Auditor

Deloitte LLP was the Company's auditor during the year and have expressed their willingness to continue in office as auditor. A resolution to reappoint Deloitte LLP as the Company's auditor will be proposed at the forthcoming Annual General Meeting of the Company.

Annual General Meeting

The Annual General Meeting of the Company will be held on 13 December 2011 at the Company's Registered Offices.



Daniel Levy
Chairman

15 November 2011

Compliance with the Principles of Good Governance and Code of Best Practice as appended to the Listing Rules of the Financial Services Authority (the 'Code')

Introduction

The UK Listing Authority requires all listed companies to disclose how they have applied the principles of good governance and complied with the provisions set out in the UK Corporate Governance Code (the 'Code'). The Code is publicly available under the heading 'Corporate Governance' at the website of the FRC, www.frc.org.uk. Although not required to do so by the AIM Rules, the Directors of Tottenham Hotspur plc (the 'Company') have decided to provide corporate governance disclosures comparable with those required of a listed company. However in the year to 30 June 2011 the Company has not been able to comply with the provisions set out in section 1 of the code for part of the year because prior to K V Watts' appointment as a Non-Executive Director on 14 December 2010, there was only one Non-Executive Director, Sir K E Mills. As a result the Company has not been able to comply with principles A 3, B 2 and C 3 for the full year, which recommend that the Board should include a balance of Executive and Non-Executive Directors and that the Remuneration and Audit Committees should comprise at least two independent Non-Executives.

There are currently two Executive Directors (D P Levy and M J Collecott), and the Board considers that it is adequate for two Executive Directors to deal with the management of the Public Limited Company (PLC) and five Executives of the Football Club. Following the appointment of K V Watts, the Group currently has two Non-Executive Directors.

There are three further principles that the Company has not complied with during the year to 30 June 2011 nor in the period up to the date of approval of the Annual Report.

- Principle A 2 states that there should be a clear division of responsibilities at the head of the Company between the running of the Board and the executive responsibility for the running of the Company's business. The roles of Chairman and Chief Executive are currently combined. As Chairman and Chief Executive, D P Levy is responsible for running both the Board and the Group's business. In the Board's view the independent Non-Executive Directors have the ability and authority to ensure the Group and its shareholders are not disadvantaged by this combination of roles,
- Principle A 4 states that there should be a nomination committee which should lead the process for Board appointments and make recommendations to the Board. The Board considers that a nomination committee is not appropriate due to the relatively small size of the Board, and
- Principle B 6 states that the Board should undertake a formal and rigorous annual evaluation of its own performance and that of its committees and individual Directors. The Board does not feel it necessary to operate a formal Board evaluation policy because, due to the frequency with which the Board meets (as noted below), any issues concerning the performance of an individual Director would be promptly identified and, if necessary, rectified.

Furthermore, Provision A 3 states that the Board should state its reasons if it determines that a Director is independent notwithstanding the existence of relationships or circumstances which may appear relevant to its determination, including if the Director has had a material business relationship with the Company as a senior employee of a body that has such a relationship with the Company.

The Board and its Directors

The Executive and Non-Executive Directors are named above. Further details about the Directors are contained within 'The Club' section of the Club's website tottenhamhotspur.com.

Non-Executive Directors are appointed for an initial term of a year and their service contracts provide for a notice period of three months. They are independent of management and free from any business or other relationship, which could materially interfere with the exercise of their independent judgement. All Directors are subject to re-election at the first Annual General Meeting following their appointment. The Articles of Association also provide for one-third of the Board to retire by rotation at each Annual General Meeting.

The Board met formally on four occasions during the year to discuss matters specifically reserved for decision by the full Board, which have been separately defined. In addition the Board meets informally on many occasions throughout the year when attending both home and away Tottenham Hotspur fixtures.

Corporate governance

The Board is responsible for the development of commercial strategy, monitoring and approval of major business matters and the approval of the financial statements. Prior to each meeting, the Board is furnished with timely financial and non-financial information in a form and quality for it to discharge its duties.

The ultimate responsibility for reviewing and approving the Annual and Interim Reports and for ensuring that they present a balanced assessment of the Group's position lies with the Board.

The Board has established a number of committees and delegates the day-to-day responsibility of managing the Group to the Executive Directors. There are two principal committees of the Board, the Audit and the Remuneration Committees, both of which have defined terms of reference and duties.

The specific terms of reference for all of the Committees may be obtained from the Company Secretary at the Registered Office. The terms and conditions on which Non-Executive Directors are appointed may also be obtained from the Company's Registered Office.

The Company Secretary attends all of the Board and Committee meetings and is responsible for the preparation and distribution of all agenda, minutes and related Board and Committee papers.

A procedure has been established by which Directors are able to take independent professional advice and obtain the appropriate training, deemed necessary in the pursuance of their duties, at the expense of the Company.

Audit Committee

The Audit Committee (Chairman: Sir K E Mills), which met on two occasions during the year, has responsibility for, among other things, reviewing the scope and results of the audit, the overview of the Annual Report, considering compliance with legal requirements, accounting standards, the AIM rules of The London Stock Exchange, for advising the Board on the requirement to maintain an effective system of internal control and for reviewing the arrangements by which staff of the Company may, in confidence, raise concerns about possible improprieties in matters of financial reporting or other matters.

The Audit Committee meets the external auditor independently of the Executive Directors and reviews matters brought to its attention by the external auditor. The Committee also reviews the objectivity, approach and cost effectiveness of both its audit and non-audit services. In accordance with best practice, the external auditor has confirmed its audit independence in writing to the Committee.

The Committee recommended to the Board that Deloitte LLP be proposed for reappointment at the forthcoming Annual General Meeting. This recommendation has been accepted and will be proposed to the shareholders.

Remuneration Committee

The Remuneration Committee (Chairman: K V Watts), which met on two occasions during the year, has responsibility for making recommendations to the Board, within agreed terms of reference, on the Company's policy on remuneration and the individual remuneration packages for the Executive Directors, including any compensation payments. Remuneration packages are established when the Directors are appointed.

The Executive Directors may attend meetings at the invitation of the Committee but are not included in discussions concerning their own remuneration package.

A report on Directors' remuneration is set out on pages 29 and 30.

Internal control

The Board complies with the UK Corporate Governance Code recommendations and revised guidance on internal control and maintains a sound system of internal control to safeguard shareholders' investments and Company assets.

The Board is responsible for the Group's system of internal control, including review of the effectiveness of the Company's risk management and internal control systems. A process of identifying, evaluating and managing the significant risks faced by the Group was in place from the start of the year and to the date of approval of the Annual Report, and is in accordance with Turnbull guidance. Any system of controls can, however, only provide reasonable and not absolute assurance against material misstatement and loss.

The key features of the financial controls of the Group, which have been in place throughout the year ended 30 June 2011 and up to the date of approval of this Annual Report, include a comprehensive system of financial reporting, budgeting and forecasting, and clearly communicated accounting policies and procedures. Financial control is monitored centrally and authorisation of expenditure is closely monitored by the Executive Directors. The Executive Directors receive selected information daily. Income statement, balance sheet and cash flow information is prepared each month and reviewed by relevant Executives. The Board is furnished with regular financial information. The public release of the Annual and Interim Reports is not made until it has been reviewed by the Board.

In addition to financial controls, there is an established 'whistle blowing' procedure in place where employees may, in confidence, raise concerns about possible improprieties in matters of financial reporting or other matters. Working groups have also been established involving management, external consultants and operational staff at all levels. Cross-group meetings take place to ensure that the risks arising are reviewed, communicated and clearly understood and steps have been taken to ensure the controls in place mitigate, minimise or prevent their eventuality. The Executive Directors discuss key issues at Board meetings. The Board feels that this allows it to review the effectiveness of internal controls and is sufficient to ensure that key risks are identified in a timely manner, evaluated by the correct level of management, and mitigated, where possible, through a system of control measures and reported upon satisfactorily. Given the Group's size the Board does not consider that it would be appropriate to have its own internal audit function at present.

Financial reporting

Detailed reviews of the year are included in the Chairman's Statement and Financial Review on pages 14 to 22. The Board uses these and the Directors' Report to present a balanced and understandable assessment of the Company's position and future prospects. The Directors' responsibilities for the preparation of the financial statements are described below.

Relationships with shareholders

The Board recognises the importance of maintaining strong relationships with its shareholders. The Directors seek to build on a mutual understanding of objectives between the Company and shareholders and communicate with private and institutional investors through the Club's website tottenhamhotspur.com and all other media channels available to them.

All shareholders will be given at least 21 days' notice of the forthcoming Annual General Meeting at which the Executive and Non-Executive Directors and key staff will be available to answer questions from shareholders.

Directors' responsibilities statement

The Directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors are required to prepare the Group financial statements in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union and Article 4 of the IAS Regulation and have elected to prepare the parent company financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the Directors must not approve the accounts unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing the parent company financial statements, the Directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and accounting estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

In preparing the Group financial statements, International Accounting Standard 1 requires that Directors

- properly select and apply accounting policies,
- present information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information,
- provide additional disclosures when compliance with the specific requirements in IFRS are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the entity's financial position and financial performance, and
- make an assessment of the Company's ability to continue as a going concern

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company, and to enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

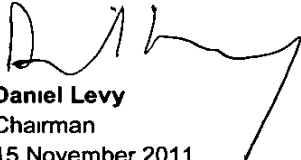
The Directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

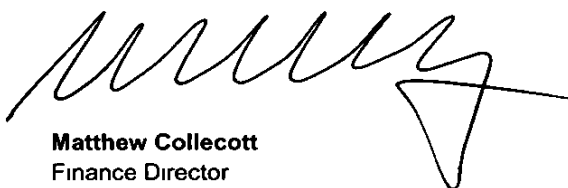
Responsibility statement

We confirm that to the best of our knowledge

- the financial statements, prepared in accordance with the relevant financial reporting framework, give a true and fair view of the assets, liabilities, financial position and profit or loss of the Company and the undertakings included in the consolidation taken as a whole, and
- the management report, which is incorporated into the Directors' Report, includes a fair review of the development and performance of the business and the position of the Company and the undertakings included in the consolidation taken as a whole, together with a description of the principal risks and uncertainties that they face

By order of the Board


Daniel Levy
Chairman
15 November 2011


Matthew Collecott
Finance Director
15 November 2011

Remuneration report

Introduction

This report has been prepared in accordance with the Companies Act 2006 (the 'Act')

As required by the Act, a resolution to approve the report will be proposed at the Annual General Meeting of the Company at which the financial statements will be approved

The Act requires the auditor to report to the Group's members on certain parts of the Remuneration Report and to state whether, in its opinion, those parts of the report have been properly prepared in accordance with the Companies Act 2006. The report has therefore been divided into separate sections for audited and unaudited information

Unaudited information

Policy on the remuneration and incentivisation of employees

In order to ensure that the Group attracts, retains and motivates Executives, the policy of the Board is to ensure that the remuneration of the Directors and senior management reflects their duties, experiences and responsibilities

All Executive Directors have contracts with an indefinite term providing for a maximum of one year's notice. The service contracts of all Executive Directors provide for one year's compensation on termination

All Non-Executive Directors have specific terms of engagement and their remuneration is determined by the Board within the limits set by the Articles of Association and based on independent surveys of fees paid to Non-Executive Directors of similar companies. Non-Executive Directors cannot participate in any of the Company's share option schemes

Remuneration package

There are five main elements of the remuneration package for Executive Directors and senior management

- basic annual salary (including Directors' fees) and benefits,
- annual bonus payments,
- share option incentives,
- pension arrangements, and
- performance-based loyalty scheme

Basic annual salary and benefits

Executive Directors, with the exception of the Chairman, are paid a basic salary, which is reviewed annually by the Remuneration Committee. The basic salary reflects the Executive's experience and job responsibilities. The Remuneration Committee also takes into account information from independent sources on the rates of salary for similar jobs in a selected group of comparable companies. The fees for the Chairman of the Group, D P Levy, are payable to ENIC Group. These fees are reviewed annually by the Remuneration Committee. In addition to a basic salary, the Executive Directors are entitled to be provided with certain benefits in kind, principally the provision of private healthcare and a fully-expensed company car

Annual bonus payments

Bonuses, where paid, are defined by the Company's Executive Incentive Scheme, which predefines specific key performance indicators against which the Remuneration Committee evaluates the Executive's performance in light of business risk and economic climate

Share option incentives

An Executive Share Option Scheme exists for both Executive Directors and employees. At the current time the Group has chosen not to remunerate its employees and Directors with share options. No share options have been issued to employees and Directors since 4 April 1999. This policy will continue to be reviewed each financial year. Options granted previously were made on a discretionary basis by the Board

Pension arrangements

The Company does not operate its own pension scheme but a stakeholder pension scheme is available to all employees. During the year the Company made payments to an external scheme on behalf of M J Collecott. The only element of remuneration which is pensionable is the basic annual salary

Remuneration report

Performance-based loyalty scheme

Aggregate emoluments of Directors disclosed below do not include any amounts in respect of the senior Executives' loyalty bonus scheme, a scheme which was awarded in January 2007. For the current year M J Collecott's award could equate to £150,000 subject to the criteria below being met. This same amount would accrue for each of the next two years and be receivable in tranches as outlined below.

Notes

- amounts payable in two tranches, the first after three years from the commencement date (the date the Executive is informed of his bonus) and the second after five years from the same date,
- the first tranche was paid in 2009/2010, following achievement of aggregate earnings before interest, tax, depreciation and amortisation (EBITDA) of £45m or more over the three year ends following the commencement date,
- no payment was made in 2010/2011,
- the payment of the second tranche is conditional on the above conditions being met as well as achieving aggregate EBITDA of £30m per annum in the fourth and fifth years after commencement, and
- Executive Directors are only entitled to receive their entitlement provided they remain in employment at the date they are entitled to receive their first and second tranches

Audited information

Directors' remuneration

The aggregate emoluments of the Directors of the Company for the year were £2,274,374 (2010: £1,835,657). Contributions to pension schemes were £28,500 (2010: £23,500) as detailed below.

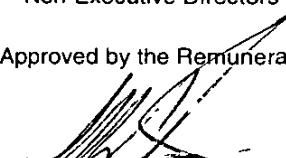
Details of the remuneration of the Directors individually and in total are shown below.

							Year to 30 June 2011	Year to 30 June 2010
	Fees	Salary	Bonus	Benefits in kind	Sub total	Pension	Total	Total
	£	£	£	£	£	£	£	£
D P Levy*	1,000,000	—	800,000	—	1,800,000	—	1,800,000	1,350,000
M J Collecott	—	285,000	177,000	2,374	464,374	28,500	492,874	504,157
Sir K E Mills**	5,000	—	—	—	5,000	—	5,000	5,000
K V Watts**	5,000	—	—	—	5,000	—	5,000	—
	1,010,000	285,000	977,000	2,374	2,274,374	28,500	2,302,874	1,859,157

* The fees of the Chairman, D P Levy, were payable to ENIC Group and were settled after the balance sheet date.

** Non-Executive Directors

Approved by the Remuneration Committee


Sir Keith Mills

Chairman of the Remuneration Committee

15 November 2011

Independent auditor's report
to the members of Tottenham Hotspur plc

We have audited the Group financial statements of Tottenham Hotspur plc for the year ended 30 June 2011 which comprise the Consolidated Income Statement, the Consolidated Balance Sheet, the Consolidated Statement of Changes in Equity, the Consolidated Cash Flow Statement and the related notes 1 to 27. The financial reporting framework that has been applied in their preparation is applicable law and International Financial Reporting Standards (IFRS) as adopted by the European Union.

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work for this report, or for the opinions we have formed.

Respective responsibilities of Directors and auditor

As explained more fully in the Directors' Responsibilities Statement, the Directors are responsible for the preparation of the Group financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the Group financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of whether the accounting policies are appropriate to the Group's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the Directors, and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information and the annual report to identify material inconsistencies with the audited financial statements. If we become aware of any apparent material misstatements or inconsistencies we consider the implication for our report.

Opinion on financial statements

In our opinion the Group financial statements

- give a true and fair view of the state of the Group's affairs as at 30 June 2011 and of its profit for the year then ended,
- have been properly prepared in accordance with IFRS as adopted by the European Union, and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the Group financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if in our opinion

- certain disclosures of Directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit.

Other matters

We have reported separately on the parent company financial statements of Tottenham Hotspur plc for the year ended 30 June 2011 and on the information in the Directors' Remuneration Report that is described as having been audited. Although not required to do so, the Directors have voluntarily chosen to make a corporate governance statement detailing the extent of their compliance with the UK Corporate Governance Code. We reviewed

- the Directors' statement in relation to going concern, and
- the part of the Corporate Governance Statement relating to the Company's compliance with the nine provisions of the UK Corporate Governance Code specified for our review,
- certain elements of the report to shareholders by the Board on directors' remuneration.



Nigel Mercer

(Senior Statutory Auditor)

for and on behalf of **Deloitte LLP**

Chartered Accountants and Statutory Auditor

London, United Kingdom

15 NOVEMBER 2011

Consolidated income statement
for the year ended 30 June 2011

		Year ended 30 June 2011			Year ended 30 June 2010		
		Operations, excluding football Trading*	Football trading*	Total	Operations excluding football trading*	Football trading*	Total
	Notes	£'000	£'000	£'000	£'000	£'000	£'000
Revenue	3	163,486	—	163,486	119,814	—	119,814
Operating expenses	4	(131,192)	(39,450)	(170,642)	(97,140)	(39,466)	(136,606)
Operating profit/(loss)		32,294	(39,450)	(7,156)	22,674	(39,466)	(16,792)
Profit on disposal of intangible fixed assets	7	—	8,573	8,573	—	15,250	15,250
Profit/(loss) from operations	5	32,294	(30,877)	1,417	22,674	(24,216)	(1,542)
Finance income	8			4,499			1,358
Finance costs	8			(5,514)			(6,355)
Profit/(loss) on ordinary activities before taxation				402			(6,539)
Tax	9			267			(108)
Profit/(loss) for the period	21			669			(6,647)
Attributable to							
Equity holders of the parent				669			(6,647)
Earnings/(loss) per share from continuing operations – basic	10			0 4p			(5 6p)
Earnings/(loss) per share from continuing operations – diluted	10			(1 6p)			(5 6p)

* Football trading represents amortisation, impairment and profit/(loss) on disposal of intangible fixed assets, and other football trading-related income and expenditure

There were no other gains or losses in either the current or prior year, accordingly no consolidated statement of comprehensive income is presented

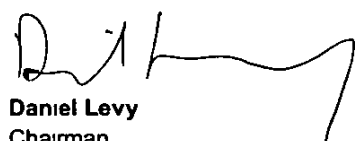
All activities in the year derive from continuing operations

Consolidated balance sheet
as at 30 June 2011

		30 June 2011 £'000	30 June 2010 £'000
	Notes		
Non-current assets			
Property, plant and equipment	11	150,299	123,552
Intangible assets	12	101,215	115,660
		251,514	239,212
Current assets			
Inventories	13	1,774	1,066
Trade and other receivables	14	18,030	35,909
Current tax receivable		—	697
Cash and cash equivalents	15	20,650	11,285
		40,454	48,957
Total assets		291,968	288,169
Current liabilities			
Trade and other payables	16	(95,608)	(86,776)
Current tax liabilities	16	(260)	—
Interest-bearing loans and borrowings	16	(20,461)	(24,117)
Provisions	16/18	(2,564)	(1,595)
		(118,893)	(112,488)
Non-current liabilities			
Interest-bearing overdrafts and loans	17	(56,269)	(65,761)
Trade and other payables	17	(15,085)	(18,833)
Deferred grant income	17	(2,045)	(2,127)
Deferred tax liabilities	17/18	(18,193)	(18,459)
		(91,592)	(105,180)
Total liabilities		(210,485)	(217,668)
Net assets		81,483	70,501
Equity			
Share capital	20	10,693	6,177
Share premium		34,788	25,217
Equity component of convertible redeemable preference shares ('CRPS')		—	3,774
Capital redemption reserve		595	595
Retained earnings		35,407	34,738
Total equity	21	81,483	70,501

These financial statements (Company number 1706358) were approved by the Board of Directors and authorised for issue on 15 November 2011

Signed on behalf of the Board of Directors



Daniel Levy
Chairman

15 November 2011

Consolidated statement of changes in equity
for the year ended 30 June 2011

	Share capital account £'000	Share premium account £'000	Equity component of CRPS £'000	Revaluation reserve £'000	Capital redemption reserve £'000	Profit and loss account £'000	Total £'000
Balance as at 1 July 2010	6,177	25,217	3,774	—	595	34,738	70,501
Profit for the year	—	—	—	—	—	669	669
CRPS converted in the period	4,516	9,571	(3,774)	—	—	—	10,313
At 30 June 2011	10,693	34,788	—	—	595	35,407	81,483

for the year ended 30 June 2010

	Share capital account £'000	Share premium account £'000	Equity component of CRPS £'000	Revaluation reserve £'000	Capital redemption reserve £'000	Profit and loss account £'000	Total £'000
Balance as at 1 July 2009	4,640	11,638	3,805	2,240	595	39,145	62,063
Loss for the year	—	—	—	—	—	(6,647)	(6,647)
Transfer of revaluation reserve	—	—	—	(2,240)	—	2,240	—
CRPS converted in the period	37	79	(31)	—	—	—	85
Ordinary share issue	1,500	13,500	—	—	—	—	15,000
At 30 June 2010	6,177	25,217	3,774	—	595	34,738	70,501

Consolidated statement of cash flows
for the year ended 30 June 2011

	Year ended 30 June 2011 £'000	Year ended 30 June 2010 £'000
Note		
Cash flow from operating activities		
Profit/(loss) from operations	1,417	(1,542)
Adjustments for:		
Amortisation and impairment of intangible assets	41,953	39,990
Profit on disposal of intangible assets	(8,573)	(15,250)
Loss on disposal of property, plant and equipment	64	—
Depreciation and impairment of property, plant and equipment	5,284	2,423
Capital grants release	84	88
Foreign exchange loss/(gain)	2,537	(755)
Decrease/(increase) in trade and other receivables	4,301	(4,865)
(Increase)/decrease in inventories	(709)	107
Increase/(decrease) in trade and other payables	22,732	(344)
Cash flow from operations	69,090	19,852
Interest paid	(3,680)	(3,071)
Interest received	21	83
Income tax refund	957	602
Net cash flow from operating activities	66,388	17,466
Cash flows from investing activities		
Acquisitions of property, plant and equipment, net of proceeds	(32,371)	(22,984)
Proceeds from sale of property, plant and equipment	276	—
Acquisitions of intangible assets	(48,825)	(61,992)
Proceeds from sale of intangible assets	22,547	34,499
Net cash flow from investing activities	(58,373)	(50,477)
Cash flows from financing activities		
Ordinary share issue	—	15,000
Proceeds from borrowings	6,831	13,750
Repayments of borrowings	(5,481)	(4,076)
Net cash flow from financing activities	1,350	24,674
Net increase/(decrease) in cash and cash equivalents	9,365	(8,337)
Cash and cash equivalents at start of the period	11,285	19,622
Cash and cash equivalents at end of year	15	20,650
		11,285

1. Accounting policies and critical accounting judgements

The following accounting policies have been applied consistently by the Directors in both the current and preceding periods in dealing with items which are considered material in relation to the Group's accounts

Going concern

The Directors have, at the time of approving the financial statements, a reasonable expectation that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future. Thus they continue to adopt the going concern basis of accounting in preparing the financial statements. Further detail is contained in the Directors' Report on page 25

Tottenham Hotspur plc is a company incorporated in the Great Britain. The nature of the Group's operations and its principal activities are set out in the Directors' report on page 23

Basis of accounting

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS). The financial statements have also been prepared in accordance with IFRS adopted by the European Union and therefore the Group financial statements comply with Article 4 of the EU IAS regulation. The financial statements have been prepared on a historical cost basis, except for the revaluation of certain properties.

Basis of consolidation

The Group financial statements incorporate the financial statements of Tottenham Hotspur plc (the 'Company') and entities controlled by the Company (its subsidiaries) made up to 30 June each year. Control is achieved where the Company has the power to govern the financial and operating policies of an investee entity so as to obtain benefit from its activities.

The results of subsidiaries acquired during the year are included in the consolidated income statement from the effective date of acquisition.

Revenue

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable in the normal course of business, net of discounts, VAT and other sales-related tax.

Merchandising revenue is recognised when goods are delivered and title has passed.

Gate receipts and other matchday revenue are recognised as the games are played. Prize money in respect of cup competitions is recognised when received. Sponsorship and similar commercial income is recognised over the duration of the respective contracts. The fixed element of broadcasting revenues is recognised over the duration of the football season whilst facility fees received for live coverage or highlights are taken when earned. Merit awards are accounted for only when known at the end of the football season.

Capital grants

Capital grants relate to amounts receivable from public bodies and football authorities and are treated as deferred income and released to the income statement over the estimated useful life of the asset concerned.

Foreign exchange

Transactions denominated in foreign currencies are translated into Sterling and recorded at the rates of exchange ruling at the date of the transactions. Monetary assets and liabilities denominated in a foreign currency are translated into Sterling at the exchange rates ruling on the balance sheet dates. Translation differences are dealt with in the income statement.

Player costs and transactions

(a) Initial capitalisation

The costs associated with the acquisition of player and key football management staff registrations are capitalised as intangible fixed assets. Any intangible assets acquired on deferred terms are recorded at the fair value at the date of acquisition. The fair value represents the net present value of the costs of acquiring players and key football management staff registrations.

(b) Amortisation discounted

These costs are fully amortised on a straight-line basis over their useful economic lives, in equal annual instalments over the period of the respective contracts. Where a contract life is renegotiated, the unamortised costs, together with the new costs relating to the contract extension, are amortised over the term of the new contract.

(c) Contingent consideration

Under the conditions of certain transfer agreements, further fees will be payable to the vendors in the event of the players concerned making a certain number of First Team appearances or on the occurrence of certain other specified future events. Liabilities in respect of these additional transfers are accounted for, as provisions, when it becomes probable that the number of appearances will be achieved or the specified future events will occur.

(d) Impairment

The Group will perform an impairment review on the intangible assets if events or changes in circumstances indicate that the carrying amount of the player may not be recoverable. The Group compares the carrying amount of the asset with its recoverable amount.

The Group does not consider that it is possible to determine the value in use of an individual football player in isolation as that player (unless via a sale or insurance recovery) cannot generate cash flows on his own. Furthermore, the Group also considers that all of the players are unable to generate cash flows even when considered together. Accordingly the Group considers the smallest cash-generating unit to contain all the other First Team players, the Stadium and the training facilities.

The Group calculates the value in use of this cash-generating unit by discounting estimated expected future cash flows (being the pre-player trading cash flows generated by the Group's existing operations and any future capital expenditure on the ground and First Team squad). The Group compares this with its assessment of the fair value less costs to sell off all of the First Team players and the higher of these two numbers is deemed to be the recoverable amount.

In certain rare instances there may be an individual player whom the Group does not consider to be part of the First Team squad and who will therefore not contribute to the future cash flows earned by the cash-generating unit. This is normally due to a permanent career-threatening injury/condition or due to a serious and permanent fall out with the Group's senior football management and Directors which, as a consequence, means the Group consider it highly unlikely he will ever play for the First Team again. In this situation, the carrying value of the player is removed from the carrying value of players assessed as part of the cash-generating unit referred to above and instead this player will be assessed for impairment in isolation by considering his carrying value with the Group's best estimate of his fair value less costs to sell. The Group estimate this using one of the following sources:

- in the case of a player who has permanently fallen out with the Group's senior football management and Directors, either the agreed selling price in the event the player has been transferred subsequent to the year end, or
- if there have not been any bids for the player, management's best estimation of the disposal proceeds (less costs) of the player on an arm's length basis. This is determined by the Group's senior football management in conjunction with the Directors who will use the outcome of recent player disposals (by both the Group and other football clubs) as a basis for their estimation. Any costs to sell, such as agency costs are deducted from the fair value, or
- in the case of a player who has suffered a career-threatening injury/condition, the value attributed to the player by the Group's insurers.

(e) Disposals

Profits or losses on the disposal of these registrations represent the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

(f) Remuneration

Remuneration of players is charged in accordance with the terms of the applicable contractual agreements and any discretionary bonus when there is a legal or contractual obligation

Liabilities in respect of player loyalty fees are provided for, as part of operating expenses, when payment becomes probable as the player is contracted to the Club and the loyalty fee is payable prior to the next transfer window at the date the accounts are signed

Finance costs

Finance costs of borrowings are recognised in the income statement using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash flows through the expected life of the borrowing

In accordance with IAS 39 'Financial Instruments: recognition and measurement', any non-current assets acquired on deferred terms are recorded at the discounted present value at the date of acquisition. The associated payable is then increased to the settlement value over the period of deferral, with this value being charged as a notional finance cost through the income statement

Similarly any intangible asset disposed of on deferred terms will be initially recorded at the discounted present value of future receipts and the receivable is then increased to the settlement value over the period of deferral with this value being charged as notional finance income through the income statement

In respect of intangible asset acquisitions, the differing rate at which the finance cost and amortisation are recognised in the income statement produces a deferred tax credit. In respect of intangible asset disposals, the finance income recognised produces a deferred tax asset. The adjustments are stated net of deferred tax

Tax

The tax expense represents the sum of the tax currently payable and deferred tax

The tax currently payable is based on taxable profit for the year. Taxable profits differ from net profit as reported in the income statement because they exclude items of income or expense that are taxable or deductible in other years and they further exclude items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been substantively enacted by the balance sheet date

Deferred tax is the tax expected to be payable on the differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit and is accounted for using the balance sheet liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised

Deferred tax is charged or credited in the income statement

Property, plant and equipment

Freehold land is not depreciated. Leasehold property is amortised over the term of the lease. Other fixed assets are depreciated on a straight-line basis at annual rates appropriate to their estimated useful lives as follows

Freehold properties	2%
Motor vehicles	20%
General plant and equipment	10% – 33%

The Group capitalises costs in relation to an asset when economic benefit from the asset is considered probable. Assets under the course of construction are carried at cost and include professional fees. Depreciation commences when the assets are ready for their intended use

Inventories

Inventories, which comprise goods held for resale, are valued at the lower of cost and net realisable value using the average cost method

Debt

Debt is stated initially at the amount of the net proceeds after deduction of issue costs. The carrying amount is increased by the finance cost in respect of the accounting period and reduced by payments made in the accounting period.

Convertible redeemable preference shares

CRPS are regarded as compound instruments, consisting of a liability component and an equity component. At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for similar non-convertible debt. The difference between the proceeds of issue of the CRPS and the fair value assigned to the liability component, representing the embedded option to convert the liability into equity of the Group, is included in equity.

Issue costs are apportioned between the liability and equity components of the CRPS based on their relative carrying amounts at the date of issue. The portion relating to the equity component is charged directly against equity.

The interest expense on the liability component is calculated by applying the prevailing market interest rate for similar non-convertible debt to the liability component of the instrument. The difference between this amount and the interest paid is added to the carrying amount of the liability component.

Leases

Rental costs under operating leases are charged to the income statement in equal annual amounts over the periods of the leases.

Pension costs

Payments are made to the external defined contribution pension schemes of eligible employees of the Group. The pension cost charged in the year represents contributions payable by the Group to these schemes.

In addition, the Group is making contributions in respect of its share of the deficit of the defined benefit section of the Football League Pension and Life Assurance Scheme (the 'Scheme'). A provision has been established for the Group's share of the deficit which exists in this section of the Scheme.

Under the provisions of IAS 19 'Employee Benefits' the Scheme would be treated as a defined benefit multi-employer scheme. The Scheme's actuary has advised that the participating employers' share of the underlying assets and liabilities cannot be identified on a reasonable and consistent basis and, accordingly, no disclosures are made under the provisions of IAS 19.

Segmental accounting

IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the Chairman to allocate resources to the segments and to assess their performance. In contrast, the predecessor Standard (IAS 14 'Segment Reporting') required the Group to identify two sets of segments (business and geographical), using a risks and rewards approach, with the Group's system of internal financial reporting to key management personnel serving only as the starting point for the identification of such segments. Information reported to the Group's Chairman for the purposes of resource allocation and assessment of segment performance is focused on (1) the underlying football operations of the Group and (2) the proposed NDP and Training Centre.

New standards and interpretations

The accounting policies applied by the Group in these consolidated financial statements are the same as those applied by the Group in its consolidated financial statements as at and for the year ended 30 June 2010.

Other standards introduced during the period had no impact on these financial statements.

Future accounting developments

At the date of authorisation of these financial statements, the following Standards and Interpretations which have not been applied in these financial statements were in issue but not yet effective (and in some cases had not yet been adopted by the EU)

- IAS 24 (amended) 'Related Party Disclosures'
- IAS 32 (amended) 'Classification of Rights Issues'
- IFRIC 19 'Extinguishing Financial Liabilities with Equity Instruments'
- IFRIC 14 (amended) 'Prepayments of a Minimum Funding Requirement'
- Improvements to IFRS (May 2010)

The Directors do not expect that the adoption of the other standards listed above will have a material impact on the financial statements of the Group in future periods

Critical accounting judgements and estimates

In the application of the Group's accounting policies, which are described in note 1, the Directors are required to make judgements, estimates and assumptions about the carrying value of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The principal balances in the financial statements where changes in estimates and assumptions may have a material impact are

Contingent liabilities

Current liabilities and provisions contain contingent bonuses payable to Directors, players and clubs and are based on the best information available to management at the balance sheet date. However, the future costs assumed are inevitably only estimates, which may differ from those ultimately incurred.

Recoverable amount of non-current assets

Property, plant and equipment

All non-current assets, including property, plant and equipment and intangible assets, are reviewed for potential impairment using estimates of the future economic benefits attributable to them. Such estimates involve assumptions in relation to future ticket income, media and sponsorship revenue and on pitch performance. Any estimates of future economic benefits made in relation to non-current assets may differ from the benefits that ultimately arise, and materially affect the recoverable value of the asset.

Assets under construction

The assets classified under 'in the course of construction' relate to the Group's two main ongoing capital projects: the proposed Northumberland Development Project (NDP) and the development of the new Training Centre. IAS 16 requires that for an asset to be capitalised it must result in a probable economic benefit. Therefore, once either of these projects begin their useful economic lives, depreciation will begin.

On 30 September 2010 the Planning Committee of Haringey Council approved the planning application for the NDP. The application is currently being considered by the Mayor of London and the Secretary of State. In order for the NDP to continue to generate a probable economic benefit, the Directors have had to assess the likelihood of planning permission not being overturned, obtaining financing and generating sufficient demand to fill an enlarged stadium. Although the NDP is in its early stages the Directors remain confident that planning permission will not be overturned, the Group will obtain the necessary funding and that there will be sufficient demand to fill the enlarged stadium. The Directors have produced detailed cash flow projections and have performed sensitivity analysis on these and are confident that the NDP will proceed. The NDP will be closely monitored and any amounts capitalised, which would not be recoverable in the event that the NDP does not proceed such as a significant proportion of professional fees capitalised that are specific to the proposed stadium site and properties whose market value is below cost, would need to be written-off at that time.

During the year, work started on the new Training Centre. The Directors believe that the new Training Centre will reach completion within the next year.

Current taxation

The complex nature of tax legislation under which the Group operates necessitates the use of many estimates and assumptions, where the outcome may differ from that assumed

Financial assets and liabilities

Financial assets and liabilities are recognised in the Group's balance sheet where the Group becomes a party to the contractual provisions of the asset/liability

Impairment of financial assets

All financial assets are assessed for indicators of impairment at each balance sheet date

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled, or they expire

2 Operating segments

All revenues disclosed are derived from external customers. The accounting policies of the reportable segments are the same as the Group's accounting policies described in note 1. Segment operating profit represents the profit earned by each segment without allocation of central administration costs and certain recharges. This is the measure reported to the Group's Board for the purpose of resource allocation and assessment of segment performance.

Class of business	Football		Property		Group	
	2011 £'000	2010 £'000	2011 £'000	2010 £'000	2011 £'000	2010 £'000
Revenue	162,761	118,955	725	859	163,486	119,814
Segment operating profit/(loss)	32,545	22,808	(251)	(134)	32,294	22,674
Player trading operating costs	(39,450)	(39,466)	—	—	(39,450)	(39,466)
Profit on disposal of player registrations	8,573	15,250	—	—	8,573	15,250
Net finance charges	(226)	(4,362)	(789)	(635)	(1,015)	(4,997)
Profit/(loss) before taxation	1,442	(5,770)	(1,040)	(769)	402	(6,539)
Property, plant and equipment	38,940	38,890	111,359	84,662	150,299	123,552
Intangible assets	101,215	115,660	—	—	101,215	115,660
Non-current assets	140,155	154,550	111,359	84,662	251,514	239,212
Total assets	201,113	205,965	90,855	82,204	291,968	288,169
Total liabilities	(115,568)	(128,704)	(94,917)	(88,964)	(210,485)	(217,668)
Segment net assets/(liabilities)	85,545	77,261	(4,062)	(6,760)	81,483	70,501

The vast majority of the Group's operations are conducted in the United Kingdom

3. Revenue

Revenue, which is almost all derived from the Group's principal activity, is analysed as follows

	2011	2010
	£'000	£'000
Revenue comprises:		
Gate receipts – Premier League	20,416	20,123
Cup competitions – Gate receipts and prize money	39,002	6,726
Sponsorship and corporate hospitality	31,837	25,763
Media and broadcasting	54,016	51,519
Merchandising	9,553	7,793
Other	8,662	7,890
	163,486	119,814

All revenue except for £725,000 (2010 £859,000) derives from the Group's principal activity in the United Kingdom and is shown exclusive of VAT

4. Operating expenses

	2011	2010
	£'000	£'000
Staff costs	91,063	67,073
Depreciation and impairment of property, plant and equipment	5,284	2,770
Other operating costs	34,845	27,297
Operating expenses excluding football trading	131,192	97,140
Amortisation, impairments and other net football trading income and expenditure	39,450	39,466
Total operating expenses	170,642	136,606

5 Profit/(loss) from operations

This is stated after charging/(crediting) the following

	2011	2010
	£'000	£'000
Depreciation and impairment of property, plant and equipment		
– owned	5,284	2,770
Amortisation of intangible fixed assets	41,953	39,991
Amortisation of grants	(84)	(88)
Charitable donations	100	12
Operating lease rentals		
– land and buildings	285	277
– other	146	167
Foreign exchange loss/(gain)	2,486	(801)

The analysis of auditor's remuneration is as follows

	2011	2010 (restated)
	£'000	£'000
Fees payable to the Company's auditor for statutory services		
– audit of the Company's accounts	22	20
– audit of the accounts of the Company's subsidiaries	83	77
Total audit fees	105	97
Other services		
– tax services	159	203
– other services pursuant to legislation	10	10
– other services	5	15
Total non-audit fees	174	228
Total fees	279	325

Fees for the audit of the Company's subsidiaries accounts represent the fees payable to Deloitte LLP in respect of the audit of the Company's individual financial statements prepared in accordance with UK GAAP and the audit of the Company's accounts represents the audit of the Group's consolidated financial statements prepared in accordance with IFRS

Tax services relate mainly to assessing the tax implications of significant corporate transactions. Other services relate primarily to providing advice on accounting matters.

6. Staff numbers and costs

The average number of employees of the Group during the year, including Executive Directors, was as follows

	2011	2010
	Number	Number
Players and football administration staff	159	142
Administration staff	105	100
Retail and distribution staff	51	48
	315	290

The aggregate payroll costs of these employees were as follows

	£'000	£'000
Salaries and bonuses	79,058	59,408
Social security costs	9,846	7,092
Other pension costs	2,159	573
	91,063	67,073

In addition the Group employs, on average, 611 temporary staff on matchdays (2010: 584)

In addition to the above payroll costs, redundancy costs of £191,762 (2010: £129,682) were also charged to the income statement during the year.

7 Profit on disposal of intangible fixed assets

	2011	2010
	£'000	£'000
Consideration	8,573	26,122
Net book value of disposals	—	(10,872)
	8,573	15,250

8. Finance income and costs

	2011	2010
	£'000	£'000
Interest income	21	83
Notional interest income on deferred receipts for sales of players' registrations	461	1,275
Interest credit on CRPS liability	4,017	—
	4,499	1,358

	2011	2010
	£'000	£'000
Interest expense	(3,326)	(2,779)
Notional interest expense on deferred payments for players' registrations	(2,092)	(3,257)
Amortisation of debt issue costs	(96)	(83)
Interest charge on CRPS liability	—	(236)
	(5,514)	(6,355)

9. Tax (credit)/charge on ordinary activities

	2011	2010
	£'000	£'000
Current tax		
UK corporation tax charge on profits for the year at 27.5% (2010: 28%)	—	—
Other prior year adjustments	—	(194)
Current tax (credit)/charge	—	(194)

Deferred tax

Origination and reversal of timing differences in prior years	238	—
Origination and reversal of timing differences in current year	355	(60)
Rollover relief deferred in respect of players disposed of and purchased in prior years	(77)	857
Rollover relief deferred in respect of players disposed of and purchased in current year	664	(495)
Difference in tax rates	(1,447)	—
Deferred tax (credit)/charge	(267)	302
Total tax (credit)/charge on ordinary activities	(267)	108

Reconciliation of total tax charge

	2011	2010
	£'000	£'000
Profit/(loss) on ordinary activities before taxation	402	(6,539)
Tax on profit/(loss) on ordinary activities before taxation at the UK statutory rate of 27.5% (2010: 28%)	112	(1,831)
(Non-taxable income)/expenses not deductible	(30)	726
Depreciation for which no tax relief is available	937	550
Effect of restating deferred tax liability at 26%	(1,447)	—
Net impact of rollover relief in respect of players disposed of and purchased in prior years	(77)	857
Other prior year adjustments	238	(194)
Total tax charge on ordinary activities	(267)	108

In the March 2011 Budget it was announced that the rate of corporation tax would be reduced from the current rate of 28% to a rate of 26% with effect from 1 April 2011 and again to 25% from 1 April 2012. The effective tax rate for the year is 27.5% (2010: 28%).

Other than the provision for deferred tax (see note 18) and the items referred to above, there are no items which would materially affect future tax charges.

10 Earnings per share

Earnings per share has been calculated using the weighted average number of shares in issue in each year.

	2011	2010
	£'000	£'000
Earnings for the purpose of basic earnings per share being net profit/(loss) attributable to equity holders of the Company	669	(6,647)
Net interest (credit)/charge in respect of CRPS	(4,017)	236
Earnings for the purpose of diluted earnings per share*	(3,348)	(6,411)

	Number	Number
Weighted average number of ordinary shares for the purposes of basic earnings per share	169,886,586	117,911,574
Convertible redeemable preference shares	43,973,270	90,317,964
	213,859,856	208,229,538

	Pence	Pence
Basic earnings/(loss) per share	0.4p	(5.6p)
Diluted loss per share*	(1.6p)	(5.6p)

There are no ordinary share options outstanding at the year end (2010: nil). On 24 December 2010, 56,427 CRPS were converted to ordinary shares, then on 19 January 2011, 1,574 CRPS were converted to ordinary shares and 1 CRPS was redeemed, leaving no CRPS in issue. The share capital at year end was 213,858,987 ordinary shares (2010: 123,542,585 ordinary shares).

*Potential ordinary shares that have been converted during the period are included for the period prior to actual exercise.

11 Property, plant and equipment
For the year ended 30 June 2011

Group	Land and buildings		Motor vehicles	General plant and equipment	Assets under the course of construction	Total
	Freehold	Short leasehold				
	£'000	£'000	£'000	£'000	£'000	£'000
Cost or valuation						
At 1 July 2010	59,539	1	313	21,282	69,395	150,530
Additions	172	—	102	5,053	27,044	32,371
Disposals	(316)	—	(121)	—	—	(437)
At 30 June 2011	59,395	1	294	26,335	96,439	182,464
Depreciation and impairment						
At 1 July 2010	8,857	1	140	17,980	—	26,978
Eliminated on disposal	(7)	—	(90)	—	—	(97)
Charged in the year	887	—	60	4,337	—	5,284
At 30 June 2011	9,737	1	110	22,317	—	32,165
Net book value						
At 30 June 2011	49,658	—	184	4,018	96,439	150,299

Land and buildings that are currently held for the NDP have been transferred at their net book value into assets under the course of construction. In the event that the proposed NDP does not proceed, some of the £26,340,000 of professional fees capitalised to 30 June 2011 (2010 £20,432,000) may need to be written-off.

For the year ended 30 June 2010

Group	Land and buildings		Motor vehicles	General plant and equipment	Assets under the course of construction	Total
	Freehold	Short leasehold				
	£'000	£'000	£'000	£'000	£'000	£'000
Cost or valuation						
At 1 July 2009	55,634	1	199	20,830	50,882	127,546
Additions	3,905	—	114	452	18,513	22,984
At 30 June 2010	59,539	1	313	21,282	69,395	150,530
Depreciation						
At 1 July 2009	7,991	1	98	16,118	—	24,208
Charged in the year	866	—	42	1,862	—	2,770
At 30 June 2010	8,857	1	140	17,980	—	26,978
Net book value						
At 30 June 2010	50,682	—	173	3,302	69,395	123,552

12 Intangible assets
For the year ended 30 June 2011

	£'000
Cost of registrations	
At 1 July 2010	202,036
Additions	27,508
Disposals	(2,252)
At 30 June 2011	227,292
Amortisation and impairment of registrations	
At 1 July 2010	86,376
Charged in year – amortisation	41,953
Disposals	(2,252)
At 30 June 2011	126,077
Net book value of registrations	
At 30 June 2011	101,215

For the year ended 30 June 2010

	£'000
Cost of registrations	
At 1 July 2009	197,122
Additions	38,091
Disposals	(33,177)
At 30 June 2010	202,036
Amortisation and impairment of registrations	
At 1 July 2009	68,690
Charged in year – amortisation	39,991
Disposals	(22,305)
At 30 June 2010	86,376
Net book value of registrations	
At 30 June 2010	115,660

Intangible assets relate entirely to the carrying value of the playing squad and are being amortised over the remaining length of the players contracts which are between one and five years

13 Inventories

	2011	2010
	£'000	£'000
Inventories	1,774	1,066

Inventories comprise merchandising goods held for resale

14 Trade and other receivables

	2011	2010
	£'000	£'000
Trade receivables due in less than one year	12,447	24,090
Trade receivables due in more than one year	—	2,968
Other receivables	2,038	1,981
Prepayments and accrued income	3,545	6,870
	18,030	35,909

Trade receivables above include £3,427,000 (2010 £18,423,000) in respect of the disposal of players' registrations
The Directors consider the carrying amount of trade and other receivables approximates their fair value
Refer to note 19 for disclosures relating to debtors' ageing and other credit risk considerations

15 Cash and cash equivalents

Cash and cash equivalents comprise cash held by the Group and short-term bank deposits

	2011	2010
	£'000	£'000
Bank balances	20,633	11,276
Petty cash	17	9
Cash and cash equivalents	20,650	11,285

The carrying amount of these assets approximates their fair value

16 Current liabilities

	2011	2010
	£'000	£'000
Bank loans (secured)	19,148	18,039
Other loans (secured)	1,313	1,218
CRPS liability	—	4,860
Interest-bearing loans and borrowings	20,461	24,117
Trade payables	26,641	35,396
Corporation tax liabilities	260	—
Other tax and social security	10,269	6,977
Other payables	11,587	7,841
Accruals and deferred income	47,111	36,562
Trade and other payables	95,868	86,776
Provisions (see note 18)	2,564	1,595
	118,893	112,488

Trade payables above include £20,910,000 in respect of the acquisition of players' registrations (2010 £29,120,000)

Accruals and deferred income include income in respect of season tickets and commercial sponsorships relating to future years

The Directors consider that the carrying amount of trade payables approximates their fair value

17 Non-current liabilities

	2011	2010
	£'000	£'000
Bank loans (secured)	33,242	31,686
Other loans (secured)	23,027	24,340
CRPS liability	—	9,735
Interest-bearing loans and borrowings	56,269	65,761
Trade payables	9,984	14,688
Other payables	5,101	4,145
Trades and other payables	15,085	18,833
Deferred grant income	2,045	2,127
Deferred tax liabilities (see note 18)	18,193	18,459
	91,592	105,180

Trade payables above are all in respect of the acquisition of players' registrations

Bank loans (in notes 16 and 17)

During the year a £15,000,000 short-term revolving loan which forms part of the Group's facility with HSBC Bank was drawn, which is secured against Club assets and was outstanding at the balance sheet date

Bank loans of £1,623,000 are secured by a floating charge over the Group's assets and on certain freehold properties. These loans are being repaid over 23 years, in equal quarterly instalments which began in September 2004. Interest is charged quarterly on the outstanding amount of the loans, at a rate which tracks the Bank of England base rate. The bank loans are shown in the financial statements net of £20,000 of associated loan arrangement costs which are being amortised over the term of the loans.

There is a £55,000,000 non-recourse bank facility with the Bank of Scotland secured on certain freehold properties. The Group has drawn the £11,250,000 refinance loan to refinance the existing debt of the Group incurred in respect of the acquisition of certain properties. At the balance sheet date £8,500,000 of this loan was outstanding. The remainder of the facility is available to draw upon to acquire further properties. At the balance sheet date a further £28,651,000 had been drawn to facilitate property acquisitions and £21,202,000 of this loan was outstanding. The bank loans, which are at a floating rate, are shown in the financial statements net of £139,000 of associated loan arrangement costs which are being amortised over the term of the loans.

During the year an additional bank facility of £16,000,000 was obtained with Investec Bank. This facility is specifically to be used to aid the funding of the construction of the new Training Ground Facility and was secured against the new Training Ground site. At the balance sheet date £6,528,000 of this facility had been drawn and is repayable over six years. The interest on this amount is paid quarterly and tracks the London Inter Bank Offer Rate. The bank loan is shown in the financial statements net of £313,000 of associated loan arrangement costs which are being amortised over the term of the loan.

Other loans (in notes 16 and 17)

Other loans above relate to the issue, at par, of £10,000,000 7 29% secured loan notes by the Group in November 2002 and a further issue, at par, in November 2006 of £20,000,000 7 29% secured loan notes. The £10,000,000 loan notes were used to repay short-term debt and to fund the Group's general working capital requirements. These notes are repayable in equal annual instalments over 20 years from September 2003.

The £20,000,000 loan notes are repayable in equal instalments over 16 years from September 2007.

The loan notes are secured against White Hart Lane Stadium, and future gate and corporate hospitality receipts generated at the Stadium. At the balance sheet date £24,611,000 of the loan notes are outstanding. The loan notes are shown in the financial statements net of £272,000 of associated debt issue costs which are being amortised over the term of the loan notes.

The maturity profile of the Group's total borrowings at the balance sheet date which have been discounted using the Group's weighted average cost of capital and which do not include interest payments are as follows

	2011			2010		
	Principal £'000	Interest £'000	Total £'000	Principal £'000	Interest £'000	Total £'000
Bank loans and overdraft						
In one year or less or on demand	19,148	179	19,327	18,039	157	18,196
In more than one year but not more than two years	4,171	—	4,171	3,048	—	3,048
In more than two years but not more than five years	12,639	—	12,639	9,156	—	9,156
In more than five years	16,432	—	16,432	19,482	—	19,482
	52,390	179	52,569	49,725	157	49,882
Other loans						
In one year or less or on demand	1,313	1,495	2,808	1,218	1,572	2,790
In more than one year but not more than two years	1,414	—	1,414	1,313	—	1,313
In more than two years but not more than five years	4,923	—	4,923	4,574	—	4,574
In more than five years	16,690	—	16,690	18,453	—	18,453
	24,340	1,495	25,835	25,558	1,572	27,130
CRPS liability						
In one year or less or on demand	—	—	—	4,860	177	5,037
In more than one year but not more than two years	—	—	—	4,865	—	4,865
In more than two years but not more than five years	—	—	—	4,870	—	4,870
	—	—	—	14,595	177	14,772
Total borrowings						
In one year or less or on demand	20,461	1,674	22,135	24,117	1,906	26,023
In more than one year but not more than two years	5,585	—	5,585	9,226	—	9,226
In more than two years but not more than five years	17,562	—	17,562	18,600	—	18,600
In more than five years	33,122	—	33,122	37,935	—	37,935
	76,730	1,674	78,404	89,878	1,906	91,784

Interest rate profile

The Group has no financial assets excluding short-term receivables, other than the Sterling cash deposits of £20,650,000 (2010 £11,285,000) which are part of the financing arrangements of the Group. The Sterling cash deposits comprise deposits placed on the money market at call rates.

	Total	Fixed rate borrowings			
		Floating rate financial liabilities	Fixed rate financial liabilities	Weighted	Weighted
				average time	average
				for which	interest rate
				rate is fixed	at year end
Interest rate profile of financial liabilities (all Sterling)	£'000	£'000	£'000	Years	%
2011	76,730	52,390	24,340	8	4.2
2010	89,878	64,320	25,558	13	3.6

The floating rate borrowings are all denominated in Sterling and are referenced to London Inter Bank Offer Rate (LIBOR) and The Bank of England Base Rate.

Borrowing facilities

As at the balance sheet date the Group had the following undrawn committed bank borrowing facilities:

	2011 £'000	2010 £'000
Expiring in one year or less or on demand	24,500	15,000
Expiring in more than one year but not more than two years	—	—
Expiring in more than five years	15,099	15,722
Total undrawn committed borrowing facilities	39,599	30,722

This is made up of undrawn bank borrowing facilities of £24,500,000 and the remaining £15,099,000 undrawn facility relating to future property acquisitions (see note 17 above).

Fair values

There is no material difference between the fair value and the carrying amount of the Group's financial assets or liabilities except as described below.

	2011		2010	
	Book value £'000	Fair value £'000	Book value £'000	Fair value £'000
Other loans	24,340	22,627	25,558	21,923

Short-term receivables and liabilities have been excluded from all disclosure.

Treasury policy

The Group's operations are currently funded through operating cash flow, loans and the net proceeds from the CRPS issue. The Group hedges its interest rate exposure by using fixed interest rate facilities where deemed appropriate. The Group is exposed to foreign currency exchange risk through its player transactions but manages its working capital inflow and outflow to minimise any material foreign exchange risk. The Group does not enter into instruments for speculative purposes. All treasury transactions are reported to and approved by the Board.

Notes to the consolidated accounts
for the year ended 30 June 2011

18 Provisions for liabilities
For the year ended 30 June 2011

	£'000
Contingent transfer fees payable	
At 1 July 2010	1,045
Provided during the year	1,317
Utilised during the year	(1,275)
At 30 June 2011	1,087
Provisions on player contracts	
At 1 July 2010	550
Provided during the year	1,478
Utilised during the year	(550)
At 30 June 2011	1,478
Deferred taxation	
At 1 July 2010	18,459
Credited to the income statement	(266)
At 30 June 2011	18,193
Total	
At 30 June 2011	20,758

For the year ended 30 June 2010

	£'000
Contingent transfer fees payable	
At 1 July 2009	1,058
Provided during the year	1,226
Utilised during the year	(1,239)
At 30 June 2010	1,045
Provisions on player contracts	
At 1 July 2009	153
Provided during the year	550
Released to income during the year	(4)
Utilised during the year	(149)
At 30 June 2010	550
Deferred taxation	
At 1 July 2009	18,157
Provided during the year	302
At 30 June 2010	18,459
Total	
At 30 June 2010	20,054

The timing of the outflow of the contingent transfer fees and provisions on player contracts are dictated by the contractual provisions of the relevant agreements

Deferred taxation has been provided as follows

	2011	2010
	£'000	£ 000
Accelerated capital allowances	3,203	3,456
Deferred tax on properties not qualifying for capital allowances	—	233
Intangible fixed assets	15,359	15,087
Other timing differences	(369)	(317)
	18,193	18,459

19 Financial instruments

Capital risk management

The Group manages its capital to ensure that entities in the Group will be able to continue as going concerns while maximising the return to shareholders through the optimisation of the debt and equity balance. Strong financial capital management is an integral part of the Directors' strategy to achieve the Group's stated objectives. The Directors review financial capital reports on a regular basis and the Group finance function do so on a daily basis ensuring that the Group has adequate liquidity. The Directors' consideration of going concern is detailed in the Directors' Report. The capital structure of the Group consists of debt, which includes the borrowings disclosed in notes 16 and 17, cash and cash equivalents and equity attributable to equity holders of the parent comprising issued capital, reserves and retained earnings as disclosed in note 21 and the statement of changes in equity.

Financial risk management objectives and policies

The Group's financial assets include cash and cash equivalents and other short-term deposits. The main purpose of these financial instruments is to finance the Group operations. The Group has other financial assets, such as trade and other receivables and trade and other payables, which arise directly from its operations. Surplus cash within the Group is put on deposit, the objective being to maximise returns on such funds whilst ensuring that the short-term cash flow requirements of the Group are met.

The carrying value of the financial assets and liabilities (with non-financial assets and liabilities shown for reconciling purposes) are analysed as follows

	Year ended 30 June 2011			Year ended 30 June 2010		
	Financial assets £'000	Non-financial assets £'000	Total £'000	Financial assets £ 000	Non-financial assets £'000	Total £'000
Assets						
Non-current assets	—	251,514	251,514	—	239,212	239,212
Trade receivables and similar items	14,485	—	14,485	29,737	—	29,737
Cash and cash equivalents	20,650	—	20,650	11,285	—	11,285
Other current assets	—	5,319	5,319	—	7,935	7,935
Total assets	35,135	256,833	291,968	41,022	247,147	288,169

Notes to the consolidated accounts
for the year ended 30 June 2011

	Year ended 30 June 2011			Year ended 30 June 2010		
	Financial	Non-financial	Total	Financial	Non-financial	Total
	liabilities	liabilities		liabilities	liabilities	
	£'000	£'000	£'000	£'000	£'000	£'000
Liabilities						
Borrowings						
Current	(20,461)	—	(20,461)	(24,117)	—	(24,117)
Non-current	(56,269)	—	(56,269)	(65,761)	—	(65,761)
Trade and other payables	(108,885)	—	(108,885)	(112,659)	—	(112,659)
Other liabilities	—	(24,870)	(24,870)	—	(15,131)	(15,131)
Total liabilities	(185,615)	(24,870)	(210,485)	(202,537)	(15,131)	(217,668)
Net liabilities	(150,480)	231,963	81,483	(161,515)	232,016	70,501

The Group has not used derivative financial instruments during the year. The Board will review the need for the use of derivative financial instruments in the future.

The Group has exposure to the following risks from its use of financial instruments:

- (i) market risk,
- (ii) credit risk, and
- (iii) liquidity risk

This note presents information about the Group's exposure to each of the above risks and the Group's objectives, policies and processes for measuring and managing risk.

(i) Market risk

The Group's activities expose it primarily to the financial risks of changes in foreign currency exchange and interest rates.

Interest rate risk

The Group is exposed to interest rate risk because entities in the Group borrow at both fixed and floating interest rates. Having borrowings at both fixed and floating rates spreads the risk of significant movements in the interest rate. The Group does not consider this risk as significant.

Interest rate sensitivity analysis

The sensitivity analysis below has been determined based on the exposure to interest rates for financial instruments at the balance sheet date. For floating rate cash deposits, the analysis is prepared assuming the amount of deposits outstanding at the balance sheet date were outstanding for the whole year. A 50 basis point increase or decrease is used when reporting interest rate risk internally to key management personnel and represents management's assessment of reasonable possible changes in interest rates.

If interest rates had been 50 basis points higher/lower and all other variables were held constant, the Group's profit for the year ended 30 June 2011 would decrease/increase by £173,290 (2010: decrease/increase by £176,334). This is mainly attributable to the Group's exposure to interest rates on its floating rate loans.

Foreign currency management

The presentational currency of the Group is UK Sterling. The Group is exposed to currency risk due to movements in foreign currencies relative to Sterling affecting the Group's foreign currency transactions and balances.

The carrying amounts of the Group's foreign currency denominated monetary assets and monetary liabilities at the reporting date are as follows:

	Liabilities		Assets	
	2011	2010	2011	2010
	€'000	€'000	€'000	€'000
Euro	22,854	30,068	16,211	4,210

These amounts principally relate to player transfer liabilities and receivables.

Foreign currency sensitivity analysis

The Group is mainly exposed to the Euro. The following table details the Group's sensitivity to a 10% increase and decrease in Sterling against the Euro. 10% is the sensitivity rate used when reporting foreign currency risk internally to key management personnel and represents management's assessment of the reasonably possible change in foreign exchange rates. The sensitivity analysis includes only outstanding foreign currency denominated monetary items and adjusts their translation at the period end for a 10% change in foreign currency rates. The positive number below indicates an increase in profit and retained earnings where Sterling strengthens against the Euro. For a 10% weakening of Sterling against the Euro, there would be an equal and opposite impact on profit and retained earnings.

	Euro impact	
	2011	2010
	£'000	£'000
Impact on profit and other equity	666	3,372

(ii) Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. Of the total trade receivable balance of £12.4m, £3.4m relates to amounts receivable from various other football clubs in relation to player trading. The maximum credit exposure relates to the total of cash and cash equivalents, and trade receivables and is £33.1m.

There are no other significant concentrations of credit risk within the Group. The maximum risk exposure relates to football creditors but this is mitigated by the governing bodies of international and national football associations. Credit evaluations are performed on all customers requiring credit over a certain amount. The maximum credit risk exposure of the Group comprises the amounts presented in the balance sheet which are stated net of provisions for doubtful debts. The Group does not consider that it has significant concentration of credit risk.

Notes to the consolidated accounts
for the year ended 30 June 2011

The ageing of trade receivables at the reporting date was

	Gross receivables	Provision	Gross receivables	Provision
	2011	2011	2010	2010
	£'000	£'000	£'000	£'000
Non-football				
Not past due	2,975	—	4,646	—
Past due 0 – 30 days	4,404	—	2,458	—
Past due 31 – 90 days	1,039	—	993	—
More than 90 days	602	59	624	86
	9,020	59	8,721	86
Football				
Not past due	478	—	16,706	—
Past due 0 – 30 days	2,768	—	294	—
Past due 31 – 90 days	—	—	248	—
More than 90 days	181	—	1,175	—
	3,427	—	18,423	—
Total				
Not past due	3,453	—	21,352	—
Past due 0 – 30 days	7,172	—	2,752	—
Past due 31 – 90 days	1,039	—	1,241	—
More than 90 days	783	59	1,799	86
	12,447	59	27,144	86

	2011	2010
	£'000	£'000
Movements in the allowance for doubtful debts		
At 1 July 2010	86	210
Provided during the year	70	67
Recovered during the year	(1)	(11)
Utilised during the year	(96)	(180)
At 30 June 2011	59	86

(iii) Liquidity risk

The Group's policy is to maintain a balance of continuity of funding and flexibility through the use of loans and finance leases as applicable. The annual Group cash flow is cyclical in nature with the majority of cash inflows being received prior to the start of the playing season.

Ultimate responsibility for liquidity risk management rests with the Directors. The Directors use management information tools including budgets and cash flow forecasts to be able to constantly monitor and manage current and future liquidity. The maturity profile of the Group's borrowings is shown on page 48 along with the Group's borrowing facilities as at the balance sheet date.

20 Called up share capital

	Number	£'000
Allotted, called up and fully paid:		
At 30 June 2011 – ordinary shares of 5p each	213,858,987	10,693
At 30 June 2011 – CRPS of £78.10 each	-	-
At 30 June 2010 – ordinary shares of 5p each	123,542,585	6,177
At 30 June 2010 – CRPS of £78.10 each	57,822	4,516

During the year, following election by a majority of the convertible redeemable preference shareholders, all the remaining CRPS were converted to ordinary shares or redeemed. As a result 57,821 CRPS were converted to ordinary shares at the rate of 1,562 ordinary shares for each CRPS, adding an additional 90,316,402 ordinary shares to the called up share capital. Also, 1 CRPS was redeemed. In total this brought the ordinary share capital to 213,858,987 shares.

21 Reconciliation of movements in Group shareholders' funds

	2011	2010
	£'000	£'000
Opening shareholders' funds	70,501	62,063
Profit/(loss) for the year	669	(6,647)
Ordinary 5p shares issued during the year	—	15,000
Conversion of CRPS to ordinary shares	10,313	85
Net addition to shareholders' funds	10,982	8,438
Closing shareholders' funds	81,483	70,501

22 Commitments

At the balance sheet date the Group had outstanding commitments for future minimum lease payments under non-cancellable operating leases which fall due as follows:

	2011	2010
	£'000	(restated) £'000
Minimum lease payments		
Within one year	285	285
Within two to five years	455	907
After five years	166	224
	906	1,416
Capital commitments were as follows		
Contracted – normal course of business	392	87
Contracted – new Training Ground	20,925	9,812

23 Net debt

	2011	2010
	£'000	£'000
Cash and cash equivalents	20,650	11,285
Bank loans	(16,623)	(16,703)
Securitisation funds	(24,612)	(25,872)
Bank loans – property	(36,230)	(33,219)
Net debt	(56,815)	(64,509)

24 Related party transactions

The following paragraphs give details of all related party transactions involving the Company and any of its subsidiary undertakings

ENIC Group companies

Amounts totalling £3,757 (2010 £6,247) including VAT were incurred during the year by the Group on behalf of ENIC Group and subsequently reimbursed by ENIC Group during the year. At the balance sheet date, £nil (2010 £nil) was due to the Group from ENIC Group.

Amounts totalling £5,287 (2010 £47,641) including VAT were incurred during the year by ENIC Group on behalf of the Group.

During the year, ENIC Group invoiced the Group for £130,600 (2010 £14,000). At the balance sheet date, £94,000 (2010 £nil) was due to ENIC Group from the Group.

Other

Tottenham Hotspur Foundation was established on 1 November 2006. During the year the Group invoiced the Foundation for expenses paid on their behalf of £25,299 (2010 £136,581). At the balance sheet date, £4,178 (2010 £3,099) was due to the Group from Tottenham Hotspur Foundation.

During the year, Tottenham Hotspur Foundation invoiced the Group for £72,756 (2010 £67,835). At the balance sheet date, £296 (2010 £128) was due to Tottenham Hotspur Foundation from the Group.

Except for the balances disclosed above, there were no other balances outstanding at the balance sheet date in 2011 or 2010. All of these transactions were at arm's length.

The fees paid to related parties with regard to Directors' emoluments have been disclosed in the Remuneration Report on pages 29 and 30.

Key management personnel are deemed to be the Directors. The remuneration of Directors is determined by the Remuneration Committee having regard to the performance of individuals and market trends.

Details of the remuneration of the Directors individually and in total are shown below

							Year to 30 June 2011	Year to 30 June 2010
	Fees	Salary	Bonus	Benefits in kind	Sub total	Pension	Total	Total
	£	£	£	£	£	£	£	£
D P Levy*	1,000,000	—	800,000	—	1,800,000	—	1,800,000	1,350,000
M J Collecott	—	285,000	177,000	2,374	464,374	28,500	492,874	504,157
Sir K E Mills**	5,000	—	—	—	5,000	—	5,000	5,000
K V Watts**	5,000	—	—	—	5,000	—	5,000	—
	1,010,000	285,000	977,000	2,374	2,274,374	28,500	2,302,874	1,859,157

* The fees of the Chairman, D P Levy, were payable to ENIC Group and were settled after the balance sheet date

** Non-Executive Directors

25 Pensions

Defined contribution schemes

Certain staff of the Group are members of the Football League Limited Pension and Life Assurance Scheme. Others are members of a self administered Group money purchase scheme. The assets of these schemes are held separately from those of the Group, being invested with insurance companies. The total pension cost charged during the year amounted to £295,000 (2010 £341,000).

During the year the Group made payments of £3,014,000 (2010 £231,000) into an Employee Funded Retirement Benefit Scheme administered by Sanne Trust Company Limited. Accordingly, no liability in respect of the scheme is recognised by the Group.

Defined benefit scheme

The Group is advised only of its share of the deficit in the defined benefit section of The Football League Pension and Life Assurance Scheme (the 'Scheme'). The most recent actuarial valuation of the Scheme was as at 31 August 2008 and indicated that the contribution required from the Group towards making good this deficit was £290,000 at 1 September 2009. The pension cost charged during the year relating to this deficit was £45,000 (2010 £42,000). At the balance sheet date the Group's share of this deficit was £208,000 (2010 £253,000).

26 Contingent liabilities and assets

The Company, together with its subsidiaries, has given a multi-lateral undertaking to its bankers to guarantee the overdrafts of the Group companies.

Under the terms of certain contracts for the purchase of players' registrations, future payments may be due to third parties, dependent on the success of the team and/or individual players. At the balance sheet date the maximum contingent liability which has not been provided for was £24,158,000 (2010 £26,188,000).

Under the terms of certain contracts for the sale of players' registrations, future receipts may be receivable from third parties, dependent on the success of the team and/or individual players. At the balance sheet date the maximum contingent asset was £11,433,000 (2010 £11,311,000), none of which has been recognised.

The Group are currently in discussions with HM Revenue and Customs ('HMRC') relating to a number of tax matters. These primarily relate to (a) HMRC's investigation into image right payments made by football clubs generally, (b) HMRC's enquiries across the football industry as to whether VAT is recoverable on agents' fees on the basis that some agents may not have acted exclusively for the Club and as to whether employment related taxes arise, and (c) HMRC's enquiries into the current football creditor rules.

The Group is satisfied that it has acted and accounted properly for these matters, and that once settled, no unprovided liabilities significant to the financial statements will result.

27 Post balance sheet events

Since the balance sheet date the following events have occurred

B Friedel joined on a free transfer
C Ceballos joined on a free transfer
S Coulibaly joined on a free transfer
S Parker was bought from West Ham United
J O'Hara was sold to Wolverhampton Wanderers
E Adebayor joined on loan from Manchester City
P-J M'Poku was sold to Standard Liege
R Keane was sold to LA Galaxy
A Hutton was sold to Aston Villa
P Crouch was sold to Stoke City
W Palacios was sold to Stoke City
D Bentley was loaned to West Ham United
J Jenas was loaned to Aston Villa

Including Football League levies, the uncontingent net income of these transactions amounted to approximately £13,224,000

The contingent liability from these transactions amounts to approximately £250,000 and the contingent asset amounts to approximately £6,038,000

Five-year review

	June 2011 £'000 IFRS	June 2010 £'000 IFRS	June 2009 £'000 IFRS	June 2008 £'000 IFRS	June 2007 £'000 IFRS
Revenue	163,486	119,814	113,012	114,788	103,091
Profit from operations excluding football trading and before restructuring and depreciation	37,578	25,444	24,054	35,001	31,959
Restructuring and depreciation	(5,284)	(2,770)	(5,664)	(7,540)	(2,231)
Operating profit before football trading	32,294	22,674	18,390	27,461	29,728
Amortisation of registrations and other football-related income and expenditure	(39,450)	(39,466)	(38,099)	(36,971)	(18,832)
Profit on disposal of intangible fixed assets	8,573	15,250	56,500	16,362	18,721
Profit/(loss) before interest and taxation	1,417	(1,542)	36,791	6,852	29,617
Net interest payable	(1,015)	(4,997)	(3,393)	(3,865)	(1,872)
Profit/(loss) on ordinary activities before taxation	402	(6,539)	33,398	2,987	27,745
Taxation	267	(108)	(10,234)	(2,018)	(8,587)
Profit/(loss) on ordinary activities after taxation	669	(6,647)	23,164	969	19,158
Other finance costs in respect of non-equity shares	—	—	—	—	—
Retained profit/(loss)	669	(6,647)	23,164	969	19,158
Net assets					
Intangible assets	101,215	115,660	128,432	62,423	71,061
Property plant and equipment	150,299	123,552	103,338	74,130	51,057
Net current liabilities	(78,439)	(63,531)	(44,964)	(10,255)	(12,828)
Total assets less current liabilities	173,075	175,681	186,806	126,298	109,290
Provisions and creditors – amounts falling due after more than one year	(91,592)	(105,180)	(124,743)	(83,688)	(63,162)
Net assets	81,483	70,501	62,063	42,610	46,128
Basic earnings/(loss) per share	0 4p	(5 6p)	25 0p	1 0p	20 6p

Directors officers and advisers

We have audited the financial statements of Tottenham Hotspur plc (the 'Company') for the year ended 30 June 2011 which comprise the Balance Sheet and the related notes 1 to 11. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

This report is made solely to the Company's members, as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body for our audit work, for this report or for the opinions we have formed.

Respective responsibilities of Directors and auditor

As explained more fully in the Directors' Responsibilities Statement, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's (APB's) Ethical Standards for Auditors.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of whether the accounting policies are appropriate to the Company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the Directors, and the overall presentation of the financial statements.

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the Company's affairs as at 30 June 2011 and of its profit for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006.

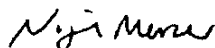
Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the parent company financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.



Nigel Mercer

(Senior Statutory Auditor)

for and on behalf of **Deloitte LLP**

Chartered Accountants and Statutory Auditors

London, United Kingdom

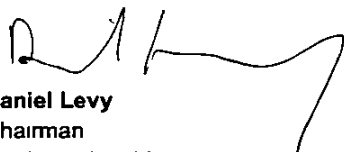
15 NOVEMBER 2011

Company balance sheet
as at 30 June 2011

	Note	2011 £'000	2010 £'000
Fixed assets			
Tangible assets	2	29,958	31,538
Investments	3	2,490	20,915
		32,448	52,453
Current assets			
Stocks	4	1,774	1,066
Debtors	5	123,988	142,782
		125,762	143,848
Creditors amounts falling due within one year	6	(80,539)	(109,875)
Net current assets		45,223	33,973
Total assets less current liabilities		77,671	86,426
Creditors amounts falling due after more than one year	7	(57)	(9,824)
		77,614	76,602
Provisions for liabilities	8	(588)	(586)
Net assets		77,026	76,016
Capital and reserves			
Called up share capital	9	10,693	6,177
Share premium account	9	34,788	25,217
Equity component of CRPS	9	-	3,774
Capital redemption reserve	9	595	595
Profit and loss account	9	30,950	40,253
Shareholders' funds	9	77,026	76,016

These financial statements (Company number 1706358) were approved by the Board of Directors and authorised for issue on 15 November 2011

Signed on behalf of the Board of Directors



Daniel Levy
Chairman
15 November 2011

1. Accounting policies

The following accounting policies have been applied consistently by the Directors in both the current and preceding periods in dealing with items which are considered material in relation to the Company's accounts

Basis of accounting

The accounts have been prepared in accordance with applicable United Kingdom law and Accounting Standards and under the historical cost convention with the exception that certain freehold and leasehold properties have been revalued

Capital grants

Capital grants relate to amounts receivable from public bodies and football authorities and are treated as deferred income and released to the profit and loss account over the estimated useful life of the asset concerned

Foreign exchange

Transactions denominated in foreign currencies are translated into Sterling and recorded at the rates of exchange ruling at the date of the transactions. Monetary assets and liabilities denominated in a foreign currency are translated into Sterling at the exchange rates ruling on the balance sheet dates. Translation differences are dealt with in the profit and loss account

Tangible fixed assets

Freehold land is not depreciated. Leasehold property is amortised over the term of the lease. Other fixed assets are depreciated on a straight-line basis at annual rates appropriate to their estimated useful lives as follows

Freehold properties	2%
Motor vehicles	20%
General plant and equipment	10% – 33%

The Group has taken advantage of the transitional provisions of FRS 15 'Tangible Fixed Assets' and retained the book amounts of certain assets which were revalued prior to implementation of that Standard. The properties were last revalued at 31 July 1998 and the valuations have not subsequently been updated

Fixed asset investments

Investments held as fixed assets are stated at cost less provision for impairment

Stocks

Stocks, which comprise goods held for resale, are valued at the lower of cost and net realisable value

Debt

Debt is stated initially at the amount of the net proceeds after deduction of issue costs. The carrying amount is increased by the finance cost in respect of the accounting period and reduced by payments made in the accounting period

Convertible redeemable preference shares

CRPS are regarded as compound instruments, consisting of a liability component and an equity component

At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for similar non-convertible debt. The difference between the proceeds of issue of the CRPS and the fair value assigned to the liability component, representing the embedded option to convert the liability into equity of the Group, is included in equity

Issue costs are apportioned between the liability and equity components of the CRPS based on their relative carrying amounts at the date of issue. The portion relating to the equity component is charged directly against equity

The interest expense on the liability component is calculated by applying the prevailing market interest rate for similar non-convertible debt to the liability component of the instrument. The difference between this amount and the interest paid is added to the carrying amount of the liability component

Leases

Rental costs under operating leases are charged to the income statement in equal annual amounts over the periods of the leases

Deferred taxation

Deferred taxation is provided in full on timing differences that result in an obligation at the balance sheet date to pay more tax, or a right to pay less tax, at a future date, at rates expected to apply when they crystallise based on current tax rates and law. Timing differences arise from the inclusion of items of income and expenditure in taxation computations in periods different from those in which they are included in the financial statements. Deferred taxation assets are recognised to the extent that it is regarded as more likely than not that they will be recovered.

Deferred taxation is not provided on timing differences arising from the sale or revaluation of fixed assets unless, at the balance sheet date, a binding commitment to sell the asset has been entered into and it is unlikely that any gain will qualify for rollover relief.

Pension costs

Payments are made to the external defined contribution pension schemes of eligible employees of the Company. The pension cost charged in the year represents contributions payable by the Company to these schemes. Under the provisions of FRS 17 'Retirement Benefits' the Scheme would be treated as a defined benefit multi-employer scheme. The Scheme's actuary has advised that the participating employers' share of the underlying assets and liabilities cannot be identified on a reasonable and consistent basis and, accordingly, no disclosures are made under the provisions of FRS 17.

2. Tangible assets

For the year ended 30 June 2011

Group	Land and buildings		Motor vehicles	General plant and equipment	Assets under the course of construction	Total
	Freehold	Short leasehold				
	£'000	£'000	£'000	£'000	£'000	£'000
Cost or valuation						
At 1 July 2010	—	1	314	15,050	29,657	45,022
Additions	—	—	101	4,694	5,983	10,778
Disposals	—	—	(121)	—	—	(121)
Transfer	—	—	—	—	(8,703)	(8,703)
At 30 June 2011	—	1	294	19,744	26,937	46,976
Depreciation and impairment						
At 1 July 2010	—	1	141	13,342	—	13,484
Eliminated on disposal	—	—	(91)	—	—	(91)
Charged in the year	—	—	60	3,565	—	3,625
At 30 June 2011	—	1	110	16,907	—	17,018
Net book value						
At 30 June 2011	—	—	184	2,837	26,937	29,958

Notes to the Company accounts
for the year ended 30 June 2011

For the year ended 30 June 2010

Group	Land and buildings		Motor vehicles	General plant and equipment	Assets under the course of construction	Total
	Freehold	Short leasehold				
	£'000	£'000	£'000	£'000	£'000	£'000
Cost or valuation						
At 1 July 2009	—	1	200	14,753	15,262	30,216
Additions	—	—	114	297	14,395	14,806
At 30 June 2010	—	1	314	15,050	29,657	45,022
Depreciation						
At 1 July 2009	—	1	99	12,427	—	12,527
Charged in the year	—	—	42	915	—	957
At 30 June 2010	—	1	141	13,342	—	13,484
Net book value						
At 30 June 2010	—	—	173	1,708	29,657	31,538

All assets shown are held at historical cost

3. Investments held as fixed assets

Investments held as fixed assets by the Company represent the investments in subsidiary undertakings which are analysed as follows

	Investment in subsidiary undertakings £'000
At 1 July 2010	20,915
Disposals during the year	(18,425)
At 30 June 2011	2,490

The investments in Ambergate Ltd (£1,074,000), Hillkey Ltd (£715,000), Quizlane Ltd (£13,750,000) and Vestbrook Ltd (£2,886,000) were disposed of during the year as the entities were liquidated. There was no consideration received in respect of the disposals.

Notes to the Company accounts
for the year ended 30 June 2011

At 30 June 2011, the Company had the following interests in the subsidiary undertakings noted below, all of which are registered and operate in England and Wales

	Share class	Holding and voting rights
Tottenham Hotspur Football & Athletic Co Limited – professional football club	Ordinary	100%
White Hart Lane Stadium Limited – provision of football entertainment	Ordinary	100%
Tottenham Hotspur Finance Company Limited – issuer of loan notes	Ordinary	100%
Paxton Road Limited – holds certain properties on behalf of the Group	Ordinary	100%
Stardare Limited – holds certain properties on behalf of the Group	Ordinary	100%
Star Furnishing Company Limited – holds certain properties on behalf of the Group	Ordinary	100%
Canvax Limited – holds certain properties on behalf of the Group	Ordinary	100%
Greenbay Property Limited – holds certain properties on behalf of the Group	Ordinary	100%
Northumberland Park Limited – holds certain properties on behalf of the Group	Ordinary	100%
Northwise Limited – holds certain properties on behalf of the Group	Ordinary	100%
Redbury Limited – holds certain properties on behalf of the Group	Ordinary	100%
Tottenham Hotspur Academy (Chigwell) Limited – holds certain properties on behalf of the Group	Ordinary	100%
Tottenham Hotspur Academy (Enfield) Limited – holds certain properties on behalf of the Group	Ordinary	100%
Tottenham Hotspur Property Company Limited – intermediary holding company for other companies that hold property on behalf of the Group	Ordinary	100%

4 Stocks

	2011	2010
	£'000	£'000
Stocks	1,774	1,066

Stock comprises merchandising goods held for resale

5. Debtors

	2011	2010
	£'000	£'000
Trade debtors	748	89
Amounts owed by Group undertakings	122,861	141,806
Corporation tax	—	331
Other debtors	196	260
Prepayments and accrued income	183	296
	123,988	142,782

6. Creditors – amounts falling due within one year

	2011	2010
	£'000	£'000
Bank overdraft	21,134	45,671
Bank loan	15,000	15,000
CRPS liability	—	4,860
Trade creditors	3,640	2,792
Corporation tax	1,774	1,476
Other taxation	10	—
Other creditors	2,954	281
Accruals and deferred income	5,079	5,090
Amounts due to Group undertakings	30,948	34,705
	80,539	109,875

7 Creditors – amounts falling due after more than one year

	2011	2010
	£'000	£'000
CRPS liability	—	9,735
Deferred grant income	57	89
	57	9,824

The maturity profile of the Company's financial liabilities at the balance sheet date was as follows

	2011	2010
	£'000	£'000
Bank loan		
In one year or less or on demand	15,000	15,000
In more than one year but not more than two years	—	—
In more than two years but not more than five years	—	—
	15,000	15,000
CRPS liability		
In one year or less or on demand	—	4,860
In more than one year but not more than two years	—	4,865
In more than two years but not more than five years	—	4,870
	—	14,595
Total borrowings		
In one year or less or on demand	15,000	19,860
In more than one year but not more than two years	—	4,865
In more than two years but not more than five years	—	4,870
	15,000	29,595

Interest rate profile

The Group has no financial assets excluding short-term debtors. The short-term revolving loan liabilities attract floating rate interest as set out in the Group financial statements.

Borrowing facilities

As at the balance sheet date the Company had the following undrawn committed bank borrowing facilities

	2011	2010
	£'000	£'000
Expiring in one year or less or on demand	15,000	15,000

Fair values

There is no material difference between the fair value and the carrying amount of the Company's financial assets or liabilities

8 Provisions for liabilities

	£ 000
Deferred taxation	
At 1 July 2010	586
Charge to the profit and loss account	2
At 30 June 2011	588
At 30 June 2010	586

Deferred taxation has been provided as follows

	2011	2010
	£'000	£'000
Accelerated capital allowances	588	586

9 Reserves

For the year ended 30 June 2011

	Share capital account	Share premium account	Equity component of CRPS	Capital redemption reserve	Profit and loss account	Total
	£'000	£'000	£'000	£'000	£'000	£'000
Balance as at 1 July 2010	6,177	25,217	3,774	595	40,253	76,016
Disposal of investments in Group companies (see note 3)	—	—	—	—	(18,425)	(18,425)
Profit for the period	—	—	—	—	9,122	9,122
CRPS converted in the period	4,516	9,571	(3,774)	—	—	10,313
At 30 June 2011	10,693	34,788	—	595	30,950	77,026

The retained profit for the year, within the financial statements of the parent company, was £9,122,000 (2010 £2,810,000). As permitted by the Companies Act 2006 Section 408, no separate profit and loss account is presented. The audit fee of £3,000 (2010 £3,000) is borne by another Group company in the current and prior year. No fees were paid to the Company's auditor or affiliated entities, relating to other services during the year. Refer to the Group financial statements for full disclosure of fees payable to the auditor.

The movements in the share capital and share premium accounts are disclosed in note 20 to the consolidated financial statements. The movement in the equity component of CRPS is disclosed in note 10 to the consolidated financial statements.

10 Reconciliation of movements in the Company shareholders' funds

	2011	2010
	£'000	£'000
Opening shareholders' funds	76,016	39,696
Profit for the year	9,122	2,810
Ordinary 5p shares issued during the year	—	15,000
Investment in Group companies	—	18,425
Disposal of investments in Group companies	(18,425)	—
Conversion of CRPS to ordinary shares	10,313	85
Net addition to shareholders' funds	1,010	36,320
Closing shareholders' funds	77,026	76,016

11. Commitments

The annual commitments under non-cancellable operating leases are

	2011	2010
	£'000	£'000
Land and buildings		
Leases expiring within one year	—	—
Leases expiring within two to five years	226	226
Leases expiring in more than five years	44	44
	270	270

Notice of Annual General Meeting

Notice is hereby given that the Annual General Meeting of Tottenham Hotspur plc will be held at Bill Nicholson Way, 748 High Road, Tottenham, London N17 0AP at 10am on 13 December 2011 to transact the following business

As ordinary business

- 1 To receive the report of the Directors and the audited accounts of the Company for the year ended 30 June 2011, together with the Auditor's Report on the same
- 2 To approve the report of the Remuneration Committee for the year ended 30 June 2011
- 3 To reappoint Deloitte LLP as auditor of the Company until the conclusion of the next general meeting at which accounts are laid before the Company and to authorise the Directors to determine their remuneration
- 4 To reappoint Sir K E Mills as a Director who is retiring by rotation in accordance with the Company's articles of association
- 5 To appoint Kevan Watts as a Director, he having been appointed as a Director following the Company's last Annual General Meeting and who ceases to be a Director at the Annual General Meeting in accordance with the Company's articles of association

As special business

To consider and, if thought fit, pass resolution 6 below as an ordinary resolution and resolutions 7 and 8 below as special resolutions

Ordinary resolution

- 6 THAT the directors of the Company be and are hereby generally and unconditionally authorised for the purposes of section 551 of the Companies Act 2006 (the '2006 Act'), to allot shares in the Company and to grant rights to subscribe for or to convert any security into shares in the Company up to an aggregate nominal amount of £10,692,949 35 provided that this authority shall expire at the conclusion of the next annual general meeting of the Company after the passing of this resolution or on the date falling 15 months from the date on which this resolution is passed, whichever is the earlier, and provided further that the Company may before such expiry make an offer or enter into an agreement during the relevant period which would or might require shares to be allotted or rights to subscribe for or convert securities into shares to be granted after such expiry and the directors of the Company may allot shares or grant rights to subscribe for or convert securities into shares under any such offer or agreement as if the authority conferred hereby had not expired. This authority shall replace all existing authorities granted to the directors of the Company for the purposes of section 551 of the Companies Act 2006 which are hereby revoked with immediate effect, save in respect of any offers made or agreements entered into pursuant to authorities previously granted to the directors of the Company which would or might require shares to be allotted

Special resolutions

- 7 THAT, subject to the passing of resolution 6 above, the directors of the Company be and are hereby empowered to allot equity securities (within the meaning of section 560 of the 2006 Act) for cash pursuant to the general authority conferred on the directors of the Company by resolution 5 as though the restriction in section 561(1) of the 2006 Act did not apply to any such allotment, up to an aggregate nominal amount of £10,692,949 35, provided that this power shall expire at the conclusion of the next annual general meeting of the Company after the passing of this resolution or on the date falling 15 months from the date on which this resolution is passed, whichever is the earlier, save that the Company may before such expiry make an offer or enter into an agreement which would or might require equity securities to be allotted after such expiry and the directors of the Company may allot equity securities pursuant to such offer or agreement as if the power conferred hereby had not expired
- 8 THAT the Company be and it is hereby generally and unconditionally authorised to make market purchases (within the meaning of section 693(4) of the 2006 Act) of ordinary shares of 5p each in the capital of the Company ('ordinary shares') provided that
 - a the maximum number of ordinary shares hereby authorised to be purchased is 32,057,462 ordinary shares,
 - b the minimum price (exclusive of expenses) which may be paid for each ordinary share is 5p (nominal value),
 - c the maximum price (exclusive of expenses) which may be paid for each ordinary share is an amount equal to 105% of the average of the middle market quotations for an ordinary share as derived from the AIM Appendix to the Daily Official List of The London Stock Exchange for the five business days immediately preceding the day on which the ordinary shares are contracted to be purchased,

Notice of Annual General Meeting

- d the authority hereby conferred shall expire at the conclusion of the next annual general meeting of the Company or on the date falling 15 months from the date on which this resolution is passed, whichever is earlier, unless such authority is renewed prior to such time, and
- e the Company may enter into a contract or contracts to purchase its ordinary shares under the authority hereby conferred prior to the expiry of such authority, which will or may be executed wholly or partly after the expiry of such authority, and may purchase its ordinary shares in pursuance of any such contract or contracts

By order of the Board



Matthew Collecott
Finance Director
15 November 2011

Registered Office
Bill Nicholson Way
748 High Road
Tottenham
London N17 0AP

Registered in England and Wales with Company number 1706358

Explanatory notes on resolutions 6, 7 and 8

Resolution 6 – authority to allot shares

Resolution 6, an ordinary resolution, as set out in the Notice of Annual General Meeting, will be proposed which seeks to renew for a further year the Directors' general authority to allot shares given at last year's annual general meeting and to grant rights to subscribe for or to convert any security into shares in the Company. If passed, this new authority would give the Directors the authority to allot shares and to grant rights to subscribe for or to convert any security into shares in the Company with an aggregate nominal value of up to £10,692,949.35 comprising 213,858,987 ordinary shares (representing 100% of the current issued ordinary share capital of the Company at the date of this document). Your Directors believe that the authority which this resolution would give them to allot ordinary shares without further recourse to shareholders in a general meeting would be in the best interests of the Company. This authority will expire at the conclusion of the next annual general meeting or, if earlier, 15 months from the date of the passing of the resolution.

Resolution 7 – disapplication of pre-emption rights

A special resolution, resolution 7, as set out in the Notice of Annual General Meeting, will be proposed and seeks to renew an authority granted at last year's annual general meeting. It gives the Directors authority to allot ordinary shares for cash without first offering them to existing shareholders in proportion to their existing shareholdings. If this resolution is passed, your Directors will be authorised to issue up to 213,858,987 ordinary shares (representing 100% of the current issued ordinary share capital of the Company at the date of this document) without being obliged to offer existing shareholders the opportunity to subscribe for all or some of those ordinary shares. In particular, your Directors will have discretion to allot and issue those ordinary shares to such persons (who may include some but not all of the Company's existing shareholders) and at such prices and on such other terms as the Directors in their absolute discretion may determine. Your Directors believe that the Company needs to be in a position to issue ordinary shares for cash on such terms as your Directors may from time to time believe to be in the best interests of the Company without being required to seek consent for such an issue from the Company's shareholders in general meeting. Accordingly, your Directors believe the flexibility which this resolution would grant them to be in the best interests of the Company. This authority will expire at the conclusion of the next annual general meeting or, if earlier, 15 months from the date of the passing of the resolution.

Resolution 8 – purchase of own shares by the Company

This resolution seeks to renew the authority of the Company to purchase its own ordinary shares because the Directors believe it is in the best interests of the Company to retain the flexibility to return cash to shareholders. The Directors will only exercise this authority after considering the effect of doing so on net assets and/or earnings per ordinary share and the interests of shareholders generally. In addition, the Directors will only exercise this authority if at the time such exercise is contemplated they are satisfied that the Company has sufficient cash resources and distributable reserves.

Notice of Annual General Meeting

Resolution 8 seeks authority for the Company to purchase up to 32,057,462 ordinary shares in the market representing 14.99% of the outstanding issued ordinary share capital of the Company at the date of this document. The Company will pay not more than 105% of the average middle market price of an ordinary share for the five days preceding any purchase (exclusive of expenses) and not less than 5p per ordinary share (the nominal value of each ordinary share) for purchases of ordinary shares pursuant to the authority.

Any shares purchased pursuant to this authority will be cancelled and the number of ordinary shares in issue will be reduced accordingly. This authority will expire at the conclusion of the next annual general meeting of the Company or, if earlier, 15 months from the date of the passing of the resolution.

Notice of Annual General Meeting

Information for shareholders

How to vote

Only those shareholders on the Company's Register of Members 48 hours before the time of the Annual General Meeting or any adjourned meeting are entitled to attend, speak and vote at the Annual General Meeting. A shareholder shall be entitled to cast votes in respect of such shares as are registered in his or her name at this time. Changes to entries on the register after this time shall be disregarded in determining the rights of any person to attend or vote at the Annual General Meeting.

Appointment of a proxy

Any such shareholder is entitled to appoint a proxy to attend the Annual General Meeting instead of him or her. The proxy shall have the same rights to attend, speak and vote at the Annual General Meeting as the shareholder. A proxy need not be a shareholder of the Company.

A shareholder may appoint more than one proxy in relation to the Annual General Meeting provided each proxy is appointed to exercise rights attached to a different share or shares held by that shareholder. You may not appoint more than one proxy to exercise rights attached to any one share.

A vote withheld is not a vote in law, which means that the vote will not be counted in the calculation of votes for or against the resolution. If no voting indication is given, your proxy will vote or abstain from voting at his or her discretion. Your proxy will vote (or abstain from voting) as he or she thinks fit in relation to any other matter which is put before the Annual General Meeting.

A proxy voting form for the Annual General Meeting is enclosed with the Annual Report and Accounts. To be valid, a duly completed proxy voting form must reach Capita Registrars, PXS, The Registry, 34 Beckenham Road, Beckenham, Kent BR3 4TU not less than 48 hours before the time of the Annual General Meeting or any adjourned meeting. Shareholders may not use any electronic address provided in either this notice of meeting or any other section of this document or its related documents (including the proxy voting form) to return proxy voting forms or to otherwise communicate with the Company for any purposes other than those expressly stated.

Shareholders who return completed proxy voting forms or any CREST Proxy Instruction as noted below may still attend the Annual General Meeting and vote in person if they wish.

CREST members who wish to appoint a proxy or proxies through the CREST electronic proxy appointment service may do so for the Annual General Meeting and any adjournments of the Annual General Meeting by using the procedures described in the CREST Manual. CREST Personal Members or other CREST sponsored members, and those CREST members who have appointed a voting service provider(s), should refer to their CREST sponsor or voting service provider(s), who will be able to take the appropriate action on their behalf. In order for a proxy appointment or instruction made using the CREST service to be valid, the appropriate CREST message (a 'CREST Proxy Instruction') must be properly authenticated in accordance with Euroclear UK & Ireland Limited's specifications and must contain the information required for such instructions, as described in the CREST Manual. The message, regardless of whether it relates to the appointment of a proxy or an amendment to the instruction given to a previously appointed proxy must, in order to be valid, be transmitted so as to be received by the issuer's agent (ID RA10) by the latest time(s) for receipt of proxy appointments specified in the Notice of Annual General Meeting. For this purpose, the time of receipt will be taken to be the time (as determined by the timestamp applied to the message by the CREST Applications Host) from which the issuer's agent is able to retrieve the message by enquiry to CREST in the manner prescribed by CREST. After this time any change of instructions to proxies appointed through CREST should be communicated to the appointee through other means. CREST members and, where applicable, their CREST sponsors or voting service providers should note that Euroclear UK & Ireland Limited does not make available special procedures in CREST for any particular messages. Normal system timings and limitations will therefore apply in relation to the input of CREST Proxy Instructions. It is the responsibility of the CREST member concerned to take (or, if the CREST member is a CREST personal member or sponsored member or has appointed a voting service provider(s), to procure that his CREST sponsor or voting service provider(s) take(s)) such action as shall be necessary to ensure that a message is transmitted by means of the CREST system by any particular time. In this connection, CREST members and, where applicable, their CREST sponsors or voting service providers are referred, in particular, to those sections of the CREST Manual concerning practical limitations of the CREST system and timings. The Company may treat as invalid a CREST Proxy Instruction in the circumstances set out in Regulation 35(5)(a) of the Uncertificated Securities Regulations 2001.

Notice of Annual General Meeting

Corporate representatives

If you are a corporation, you may appoint one or more corporate representatives who may exercise on your behalf all your powers as a member provided that they do not do so in relation to the same shares

Documents

The following documents may be inspected during business hours at the offices of the Company's solicitors Olswang, 90 High Holborn, London WC1V 6XX (weekends and public holidays excluded) from the date of this Notice until the close of the Meeting and will also be available for inspection at the place of the Annual General Meeting from 9 00am on the day of the Annual General Meeting until the conclusion of the Annual General Meeting

- (i) copies of the Executive Directors' service agreements, and
- (ii) copies of the Non-Executive Directors' letters of appointment

Who may attend?

Only shareholders on the Company's Register of Members 48 hours before the time of the Annual General Meeting or any adjourned meeting are entitled to attend, or to appoint proxies or corporate representatives to attend the Annual General Meeting. No-one else will be admitted. Changes to the Register of Members after the relevant deadline shall be disregarded in determining the rights of any person to attend and vote at the Annual General Meeting.

Please bring to the Annual General Meeting the attendance card attached to your Form of Proxy. You will be asked to show it at the entrance and not bringing it with you could delay your admission. Shareholders may also be required to provide proof of identity.

If you have been appointed as a proxy, please make this fact known to the admission staff who will direct you to the appropriate desk.

Security

There will be security checks at the entrance to the venue. To speed admission, it would be helpful if you did not bring briefcases or large bags. Cameras, mobile phones, laptop computers or tape recorders will not be allowed into the venue.

Asking questions at the Annual General Meeting

During the Annual General Meeting, the chairman will give shareholders, corporate representatives and proxies the opportunity to ask questions on the resolutions proposed at the Annual General Meeting and which are set out in the Notice of Annual General Meeting.

About the Annual General Meeting

At the Annual General Meeting, you will be asked to vote on the resolutions which are set out in the Notice of Annual General Meeting and therefore it would be helpful if you were to bring the Annual Report and Accounts to the Annual General Meeting.

Smoking

Smoking will not be permitted in the auditorium.

Directors, officers and advisers

Executive Chairman

D P Levy

Executive Director

M J Collecott

Non-Executive Directors

Sir K E Mills (Chairman of the Audit Committee)

Mr K V Watts (Chairman of the Remuneration Committee)

Company Secretary

M J Collecott

Registered office

Bill Nicholson Way

748 High Road

Tottenham

London N17 0AP

Registered number

1706358

Auditor

Deloitte LLP

Chartered Accountants and Statutory Auditor

2 New Street Square

London EC4A 3BZ

Bankers

HSBC Bank plc

70 Pall Mall

London SW1Y 5EZ

AIM nominated broker and adviser

Seymour Pierce Limited

20 Old Bailey

London EC4M 7EN

Registrars

Capita Registrars

Northern House

Woodsome Park

Fenay Budge

Huddersfield

West Yorkshire HD8 0LA
